BERNSTEIN
SOCIETE GENERALE GROUP

31 July 2026

Global Retail

Japan x European Retail: Inditex vs. Fast Retailing - The Devil Wears Uniqlo and Zara


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Inditex and Fast Retailing (UNIQLO) are widely considered the champions of global apparel retail, delivering 14-19% compound annual TSR over the last 20 years. In this note, we compare and contrast the two businesses.

Inditex and Fast Retailing have much in common. Both businesses have outperformed their respective indices over the last 20 years (c. 7-12pts outperformance). Both have delivered above sector average growth at leading margins and ROIC. Both have compounded at LDD constant currency growth over the last 15 years as they have grown from their home bases (Spain & Japan). Both are seen as quality fashion retailers. Both have seen multiples ebb and flow but FAST has traded at c. 35x NTM PE since 2013 whilst ITX trades around 20-25x NTM PE.

However, they are solving for different problems. Inditex (Zara) aims to copy fashion trends with high SKU churn whilst FAST focuses on more consistent, affordable product with lower SKU churn and high sales per SKU. Both deliver operational excellence and leading margins. Inditex delivers a higher gross margin (58% vs. 54%), EBIT margin (20% vs. 17%) and ROIC (50% vs. 42%).

Inditex & FAST are solving for different product, price and category problems:

Inditex is a fashion chameleon. They take no view on fashion, instead aiming to imitate and camouflage amongst ever-changing fashion trends. This is supported by a virtuous flywheel of a near-shored supply chain, shallow initial buys & rapid replenishment, strong data flow between stores and buyers, premium mass pricing, and no markdowns or marketing spend.

UNIQLO is an industrial basics machine rather than a fashion brand. It is the original "infrastructure" apparel platform, competing on repetition, function and scale instead of novelty and storytelling. It runs a radically concentrated SKU set (fewer than 1,000 core items vs. 10k+ for ITX) through dedicated long-term suppliers, builds recurring demand around technologies like HEATTECH and AIRism, and engineers dependability rather than scarcity. Because it requires no fashion sensibility of its customers, its TAM — and store whitespace — is structurally larger than fashion retail's.

Both companies deliver high quality growth. Inditex offers stability whilst FAST offers more international growth optionality. Inditex's fast fashion flywheel allows it to consistently compound ahead of the market. This has allowed it to outgrow its market in 13 of the past 14 years, delivering an average +11% cFX growth (vs. its weighted markets +2%). FAST has similarly outgrown its markets in all but 2 of the last 14 years, growing at an average of +10% cFX growth (vs its weighted markets +3%).
Our view is simple: these are the two structural winners of global apparel. Solving opposite problems — Zara mastering change, UNIQLO mastering permanence — both have built self-reinforcing models that competitors have failed to copy for decades, and both retain long runways for compounding. We rate both Outperform.

First Published: 30 Jul 2026 19:30 UTC Completion Date: 30 Jul 2026 09:49 UTC

BERNSTEIN TICKER TABLE

			29 Jul 2026		TTM		Adjusted EPS			Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
ITX.SM (Inditex)	O	EUR	56.46	60.00	16.4%	EUR	2.00	2.27	2.51	28.3	24.8	22.5
9983.JP (Fast Retailing)	O	JPY	78,500	98,000	32.4%	JPY	1,409.32	1,733.29	1,996.49	55.7	45.3	39.3
EDME			1,601.43									
JPL			2,570.52									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

9983.JP estimate is Reported EPS; 9983.JP valuation is Reported P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

EUROPEAN RETAIL INVESTMENT IMPLICATIONS

We rate Inditex Outperform with a TP of €60. Inditex is a fashion chameleon, constantly reinvesting itself to stock product in line with the latest trends. The business model which enables this is inimitable as it is a virtuous circle which has been built over the last 50 years. Looking out across the rest of 2026, the macro environment remains complex and volatile but the Inditex model is as strong as ever and will likely benefit from its exposure to higher affluence consumers. We think the business is well set to compound at an 8% sales CAGR over FY25-FY28 (>2-3x faster than the market), and to deliver industry-leading margins at ~20-21% EBIT (nearly 3x higher than H&M). We think this strong growth and margin profile will continue to warrant a PE multiple of c. 23x.

JAPAN CONSUMER INVESTMENT IMPLICATIONS

We rate Fast Retailing Outperform with a TP of JPY98,000. We think the business is well set to compound at an 15% sales CAGR over FY25-FY27 (much faster than the industry), and to deliver industry-leading operating profit margins at ~19-20%. We think this strong growth and margin profile will continue to warrant a PE multiple of c. 48x.

BLACKBOOKS & CORE RESEARCH:

Fast Retailing Deep-Dive: The "Toyota" in apparel

Initiation Japan Consumer - The Devil wears Uniqlo: AI, savvy consumers, and the end of Hype

Zara: The Chameleon Queen (2025)

Inditex: Zara Is Only the Beginning... A Portfolio of Fashion Chameleons (2024)

VALUATION COMPS TABLE

EXHIBIT 1: **Valuation Comps**

	Mkt Cap	EV	P/E			P/B			EV/EBITDA			ROE			PEG	EPS Growth	OPM	Div. Yld.	
	(USD mn)	(USD mn)	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	1BF-3BF	1BF-3BF	1BF	LTM	1BF
Fast Retailing	156,101	148,132	47.4x	43.6x	38.7x	9.0x	8.5x	7.4x	25.9x	23.0x	20.7x	21.5%	20.6%	20.2%	3.2x	*13.6%*	*18.7%*	0.7%	0.9%
Ryohin Keikaku	15,123	14,726	35.6x	31.5x	27.8x	5.9x	5.4x	4.8x	18.3x	16.6x	15.1x	18.4%	19.0%	18.8%	3.2x	*9.8%*	*11.1%*	0.7%	0.9%
Japanese Apparel Retailers			**41.5x**	**37.5x**	**33.2x**	**7.5x**	**7.0x**	**6.1x**	**22.1x**	**19.8x**	**17.9x**	**19.9%**	**19.8%**	**19.5%**	**3.2x**	***11.7%***	***14.9%***	**0.7%**	**0.9%**
Asics	21,510	21,611	30.1x	25.6x	22.3x	10.8x	8.7x	7.0x	18.9x	15.5x	13.9x	41.0%	39.1%	35.8%	1.8x	*14.6%*	*18.8%*	0.7%	0.9%
Mizuno	1,836	1,719	15.8x	14.8x	13.7x	1.7x	1.5x	1.4x	10.7x	9.7x	9.1x	11.1%	10.8%	11.0%	1.9x	*7.8%*	*9.0%*	1.6%	1.8%
Yonex	1,501	1,404	18.7x	16.4x	15.0x	2.8x	2.4x	2.1x	11.4x	10.4x	10.8x	16.2%	15.4%	14.9%	1.5x	*10.7%*	*10.2%*	0.9%	1.1%
Japanese Sportswear			**21.5x**	**18.9x**	**17.0x**	**5.1x**	**4.2x**	**3.5x**	**13.7x**	**11.9x**	**11.2x**	**22.8%**	**21.8%**	**20.6%**	**1.7x**	***11.0%***	***12.7%***	**1.1%**	**1.3%**
Food & Life	8,280	9,301	45.9x	36.1x	30.5x	11.6x	8.7x	7.1x	18.1x	14.6x	12.8x	28.8%	27.8%	26.2%	2.0x	*18.2%*	*10.0%*	0.3%	0.4%
Kura	851	1,087	38.4x	37.7x	33.4x	2.0x	2.1x	2.0x	11.1x	10.7x	10.3x	5.4%	5.4%	5.7%	*n.a.*	*n.a.*	*2.2%*	0.6%	0.9%
Saizeriya	2,650	2,391	33.8x	27.9x	24.2x	3.1x	3.0x	2.7x	7.0x	10.3x	9.3x	9.9%	11.2%	11.7%	1.5x	*18.3%*	*6.7%*	0.4%	0.4%
Zensho	10,126	11,670	37.4x	30.6x	26.7x	4.7x	4.7x	4.1x	14.1x	12.0x	10.8x	14.9%	14.8%	15.4%	*n.a*	*n.a.*	*6.9%*	0.7%	0.8%
Monogatari	1,292	1,305	27.5x	23.1x	-	4.7x	3.9x	-	12.4x	11.2x	-	18.3%	17.1%	-	#VALUE!	*#VALUE!*	*7.6%*	0.7%	0.8%
Skylark	4,626	5,197	42.3x	36.0x	33.2x	4.0x	3.6x	3.3x	10.1x	9.4x	8.9x	9.8%	10.5%	10.6%	*n.a.*	*n.a.*	*7.1%*	0.7%	0.8%
Ohsho	1,233	1,101	22.1x	23.3x	22.2x	2.5x	2.3x	2.2x	13.2x	-	-	10.7%	10.2%	10.2%	*n.a.*	*n.a.*	*8.6%*	1.8%	1.8%
Japan Food Services			**35.4x**	**30.6x**	**28.4x**	**4.7x**	**4.0x**	**3.6x**	**12.3x**	**11.4x**	**10.4x**	**14.0%**	**13.8%**	**13.3%**	**1.7x**	***18.3%***	***7.0%***	**0.8%**	**0.9%**
PPIH	18,699	20,215	26.5x	23.5x	21.8x	4.2x	3.6x	3.2x	14.9x	13.7x	12.9x	16.9%	16.6%	15.9%	2.5x	*9.5%*	*7.3%*	0.9%	1.0%
Aeon	24,447	39,956	42.7x	47.2x	38.1x	3.3x	3.1x	2.9x	9.6x	9.0x	8.5x	8.5%	6.9%	8.6%	2.3x	*20.8%*	*2.9%*	0.9%	1.0%
Seven and I	31,937	51,735	17.7x	18.6x	17.5x	1.4x	1.4x	1.4x	8.7x	9.6x	9.4x	8.2%	7.6%	7.9%	1.9x	*10.1%*	*4.1%*	2.2%	2.7%
Trial	2,275	4,318	39.9x	32.5x	21.0x	2.8x	2.4x	2.2x	11.1x	9.8x	8.8x	7.3%	9.1%	12.4%	0.8x	*40.9%*	*2.7%*	0.5%	0.6%
Izumi	1,385	2,059	12.9x	12.1x	11.3x	0.8x	0.7x	0.7x	6.9x	6.8x	6.4x	6.0%	6.0%	6.3%	n.a.	n.a.	*5.0%*	2.8%	2.9%
Kobe Bussan	4,806	4,133	18.7x	19.4x	17.7x	3.7x	3.2x	2.8x	14.0x	12.6x	11.6x	21.7%	17.6%	16.6%	1.6x	*12.3%*	*7.5%*	1.0%	1.2%
Life Corp	1,428	1,419	12.2x	11.6x	11.2x	1.4x	1.3x	1.2x	5.5x	5.2x	5.0x	12.3%	11.6%	11.0%	n.a.	n.a.	*2.9%*	2.5%	2.8%
Cosmos Pharmaceutical	3,419	3,523	17.3x	17.0x	16.0x	2.0x	1.8x	1.6x	8.6x	8.1x	7.6x	11.8%	11.0%	10.8%	2.2x	*7.8%*	*3.7%*	1.2%	1.2%
Matsukiyococokara	6,663	5,960	19.2x	17.3x	16.3x	2.0x	1.8x	1.7x	9.0x	8.6x	8.2x	10.5%	10.8%	10.8%	2.4x	*7.3%*	*7.7%*	1.9%	2.2%
Sundrug	2,892	2,760	14.8x	13.4x	12.7x	1.6x	1.5x	1.4x	6.9x	6.2x	6.0x	11.3%	11.5%	11.4%	3.3x	*4.1%*	*5.7%*	3.3%	3.6%
Sugi	3,609	3,415	17.9x	16.2x	14.6x	1.9x	1.7x	1.5x	8.0x	7.3x	6.7x	10.9%	10.9%	11.1%	1.4x	*11.3%*	*4.8%*	1.2%	1.3%
Kusuri no aoki	2,450	3,004	23.8x	20.4x	18.5x	2.8x	2.6x	2.4x	11.5x	9.6x	8.8x	11.9%	13.4%	13.8%	2.2x	*9.2%*	*4.4%*	1.3%	1.5%
Japanese Grocery Retailers			**22.0x**	**20.8x**	**18.1x**	**2.3x**	**2.1x**	**1.9x**	**9.6x**	**8.9x**	**8.3x**	**11.4%**	**11.1%**	**11.4%**	**2.0x**	***13.3%***	***4.9%***	**1.7%**	**1.8%**
Inditex*	200,337	194,923	28.0x	24.5x	22.5x	9.3x	7.9x	7.4x	15.0x	13.5x	12.6x	34.0%	32.7%	33.5%	2.8x	*8.7%*	*20.5%*	3.0%	3.4%
H&M*	28,676	34,662	22.7x	20.8x	19.5x	8.2x	6.5x	6.1x	8.8x	8.3x	8.0x	34.9%	32.0%	33.6%	3.6x	*5.7%*	*8.8%*	4.0%	4.3%
Europe Apparel Retailers			**25.4x**	**22.7x**	**21.0x**	**8.7x**	**7.2x**	**6.8x**	**11.9x**	**10.9x**	**10.3x**	**34.4%**	**32.3%**	**33.5%**	**3.2x**	***7.2%***	***14.6%***	**3.5%**	**3.9%**
Adidas*	37,000	42,720	23.4x	16.6x	13.9x	5.3x	4.7x	4.2x	11.5x	9.7x	8.7x	23.8%	27.9%	29.2%	1.1x	*15.8%*	*9.7%*	1.6%	2.3%
Puma*	4,868	7,170	-	-	34.0x	2.3x	2.6x	2.4x	-	13.3x	9.1x	-27.4%	-4.9%	5.8%	-	-	*1.4%*	-	0.2%
Europe Sportswear			**23.4x**	**16.6x**	**24.0x**	**3.8x**	**3.7x**	**3.3x**	**11.5x**	**11.5x**	**8.9x**	**-1.8%**	**11.5%**	**17.5%**	**1.1x**	**0.2x**	***5.6%***	**2.5%**	**1.2%**
Compass Group*	56,030	64,763	27.7x	20.6x	18.7x	7.0x	5.8x	5.1x	14.4x	11.7x	10.9x	27.1%	28.6%	28.5%	2.2x	*9.3%*	*7.5%*	2.1%	2.4%
Elior*	621	1,957	8.5x	7.6x	5.6x	0.6x	0.6x	0.6x	5.6x	4.7x	4.3x	7.9%	7.8%	9.8%	0.3x	*29.7%*	*3.1%*	1.9%	2.7%
AmRest	608	2,320	60.5x	13.3x	12.2x	1.5x	1.3x	1.2x	5.2x	4.8x	4.8x	2.4%	10.1%	10.9%	7.0x	*1.9%*	*4.4%*	2.8%	-
Europe Food Services			**18.1x**	**13.8x**	**12.2x**	**3.1x**	**2.6x**	**2.3x**	**8.4x**	**7.1x**	**6.6x**	**12.4%**	**15.5%**	**16.4%**	**3.2x**	**0.1x**	***5.0%***	**2.3%**	**2.6%**
Carrefour*	13,149	26,280	7.5x	8.8x	8.2x	1.0x	1.0x	0.9x	4.9x	4.9x	4.7x	7.0%	10.5%	10.9%	1.9x	*4.5%*	*2.9%*	7.5%	6.7%
Tesco*	41,791	56,289	18.3x	15.6x	14.5x	2.8x	2.7x	2.6x	8.7x	8.2x	7.9x	15.5%	17.3%	17.8%	1.7x	*9.4%*	*4.4%*	2.9%	3.2%
Europe Grocery Retailers			**12.9x**	**12.2x**	**11.3x**	**1.9x**	**1.8x**	**1.8x**	**6.8x**	**6.6x**	**6.3x**	**11.2%**	**13.9%**	**14.4%**	**1.8x**	**0.1x**	***3.6%***	**4.2%**	**5.0%**
Gap	7,304	10,385	8.0x	8.1x	7.5x	2.0x	1.8x	1.6x	5.8x	3.6x	3.4x	27.6%	22.8%	23.0%	0.9x	*8.8%*	*7.7%*	3.4%	3.5%
Abercrombie & Fitch Co.	4,554	5,241	8.7x	9.2x	8.4x	3.4x	2.6x	2.1x	4.5x	4.7x	4.6x	39.0%	32.2%	31.1%	1.0x	*9.1%*	*12.1%*	-	-
American Eagle Outfitters	2,939	4,710	8.5x	9.5x	8.5x	1.8x	1.4x	1.2x	8.4x	4.5x	4.2x	18.0%	16.9%	17.0%	1.0x	*9.3%*	*7.0%*	2.9%	2.9%
Ralph Lauren	22,359	23,304	22.1x	19.9x	18.0x	7.9x	6.4x	5.4x	16.5x	12.5x	11.7x	34.7%	35.0%	32.5%	1.9x	*10.5%*	*16.9%*	1.0%	1.0%
U.S. Apparel Retailers			**11.8x**	**11.7x**	**10.6x**	**3.8x**	**3.0x**	**2.6x**	**8.8x**	**6.3x**	**6.0x**	**29.8%**	**26.7%**	**25.9%**	**1.2x**	***9.4%***	***10.9%***	**1.9%**	**2.5%**
Nike*	64,117	66,123	20.7x	24.1x	19.4x	4.3x	4.3x	4.2x	14.6x	15.8x	13.4x	22.1%	17.6%	21.6%	1.1x	*21.6%*	*7.1%*	3.8%	3.8%
Lululemon*	13,516	14,138	9.6x	10.7x	10.1x	2.9x	2.3x	2.0x	5.5x	5.2x	5.0x	32.0%	22.8%	20.2%	1.5x	*7.2%*	*15.7%*	-	-
Under Armour	2,994	4,625	70.3x	46.4x	25.4x	2.1x	2.0x	1.8x	46.8x	14.5x	12.1x	-30.0%	4.3%	7.6%	0.8x	*61.2%*	*3.2%*	-	-
Amer Sports	20,965	21,293	39.2x	26.0x	20.9x	3.1x	2.8x	2.5x	-	12.9x	11.1x	7.6%	12.1%	12.8%	1.1x	*23.1%*	*14.1%*	-	-
On Holdings*	12,637	12,354	37.0x	19.8x	16.1x	5.2x	4.2x	3.4x	18.4x	12.8x	10.5x	15.5%	22.6%	22.3%	1.1x	*17.8%*	*15.4%*	-	-
Deckers*	14,100	12,970	14.7x	13.3x	11.9x	6.2x	4.7x	3.8x	-	8.9x	8.3x	42.6%	38.5%	36.5%	1.2x	*10.7%*	*21.8%*	-	-
U.S. Sportswear			**24.2x**	**23.4x**	**17.3x**	**4.0x**	**3.4x**	**3.0x**	**21.3x**	**11.7x**	**10.1x**	**15.0%**	**19.6%**	**20.2%**	**1.1x**	***23.6%***	***12.9%***	**3.8%**	***n.a.***
McDonald's*	192,917	246,628	21.9x	20.0x	18.4x	-	125.7x	44.3x	16.5x	14.2x	13.4x	-	-215.6%	147.1%	2.5x	*7.9%*	*47.4%*	2.7%	2.9%
Chipotle*	43,921	-	30.6x	27.1x	23.1x	-	13.6x	12.1x	-	-	-	49.2%	60.7%	64.4%	1.4x	*18.7%*	*15.1%*	-	-
Darden*	24,211	32,002	19.9x	18.5x	16.9x	11.0x	10.2x	9.3x	14.9x	12.2x	11.5x	53.4%	55.2%	56.4%	2.1x	*8.9%*	*12.3%*	2.9%	3.1%
U.S. Food Services			**24.1x**	**21.9x**	**19.5x**	**11.0x**	**11.9x**	**10.7x**	**15.7x**	**13.2x**	**12.4x**	**49.2%**	**n.a.**	**n.a.**	**2.0x**	***11.9%***	***24.9%***	**3.1%**	**3.0%**
Walmart*	908,972	979,067	42.3x	36.8x	32.8x	9.6x	8.1x	7.3x	21.8x	18.7x	17.1x	25.5%	22.2%	23.0%	3.3x	*11.3%*	*4.6%*	0.8%	0.9%
Costco*	431,962	420,102	49.4x	43.3x	39.3x	12.9x	10.6x	8.9x	30.5x	26.5x	24.4x	29.2%	26.2%	24.3%	4.7x	*9.2%*	*4.0%*	0.6%	0.7%
Target*	66,266	81,563	18.3x	16.8x	15.6x	4.0x	3.7x	3.4x	10.3x	8.9x	8.3x	22.0%	22.9%	22.7%	2.0x	*8.3%*	*5.0%*	3.1%	3.2%
US Grocery Retailers			**36.7x**	**32.3x**	**29.2x**	**8.9x**	**7.4x**	**6.5x**	**20.9x**	**18.0x**	**16.6x**	**25.6%**	**23.8%**	**23.3%**	**3.3x**	***9.6%***	***4.6%***	**1.5%**	**1.6%**

Market data as of July 29 2026

Fast Retailing, Ryohin Keikaku, Asics, Food & Life, PPIH, Aeon, Seven & i are covered by Yugo Shima. * are covered by other Bernstein colleagues (William Woods,

Aneesha Sherman, Danilo Garguilo, Zhihan Ma and Sabrina Blanc).
Source: Bloomberg, Bernstein analysis.

DETAILS

Inditex and FAST Retailing (Uniqlo) are widely considered the champions of global apparel retail, delivering 14-19% compound annual TSR over the last 20 years. In this note, we compare and contrast the two businesses.

FINANCIAL COMPARISON

ORGANIC GROWTH AND VALUATION

Organic growth at Fast Retailing and Inditex has shown a broadly comparable trend over the last c. 15 years (Exhibit 2)**,** although FAST's performance has been somewhat more volatile, swinging from outperformance in years such as 2013 and 2015, to underperformance in 2021 and 2022. Inditex has held a steadier growth path throughout only dipping meaningfully in COVID before recovering quickly.

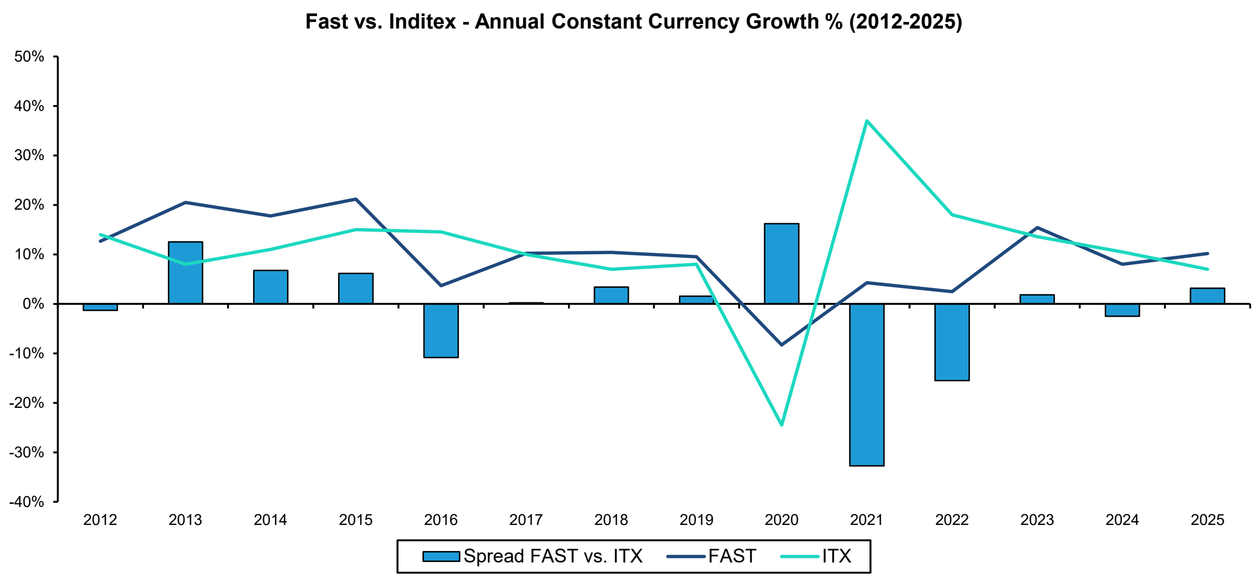
Fast has grown store count ahead of Inditex (Exhibit 3). Inditex's store growth has slowed steadily and predictably since 2011, reflecting a deliberate shift toward a smaller, more productive store base. FAST's expansion has been considerably faster, exemplifying their expansion story beyond Japan to other core Asian markets, as well as Europe/North America which has allowed it to grow ahead of its markets (Exhibit 7).

The trend is less consistent when comparing EBIT margins between FAST and ITX, with Inditex maintaining a persistent and fairly stable premium of roughly 5-8pts throughout the period (Exhibit 4). Both businesses saw margins compress sharply in 2020 as the pandemic weighed on profitability, before recovering in tandem from 2021 onward. Inditex's margin resilience reflects its scale advantages and tighter cost discipline, while FAST has demonstrated margin expansion during the corresponding active store growth years, supporting their vertically integrated model.

Looking to valuation (Exhibit 5), Inditex's has fallen slightly over recent years, settling around c. 23x after peaking near c. 30x in the mid 2010s. The whole apparel sector re-rated through that decade on the promise of online capturing significant share, a tailwind ITX rode before de-rating through the pandemic. FAST's multiple, by contrast, peaked at c. 40x in 2021 before compressing to c. 33x in 2022, and has since climbed back to c. 35-37x over 2024-25, trading persistently above Inditex's range throughout.

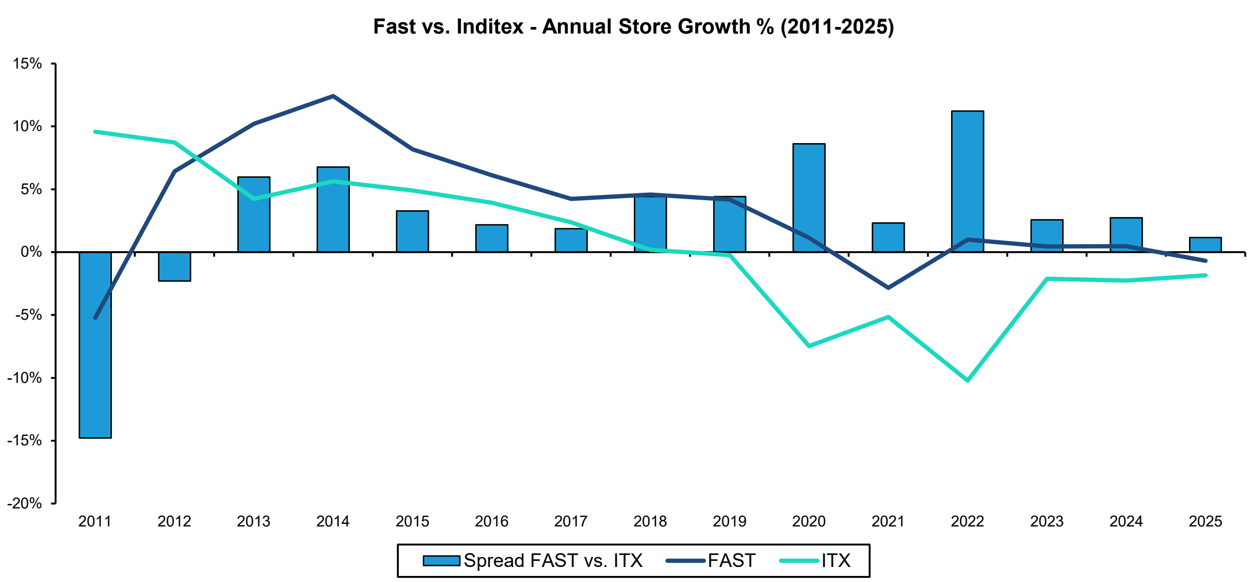
In terms of current valuation (Exhibit 9), Inditex sits broadly in line with its own history, range-bound between 20-26x P/E over the last couple of years and currently in the middle of that band at c. 24x, reflecting its consistent growth and margin profile alongside positive short term catalysts. For FAST, valuation sits toward the top of its historical range across the board, and while elevated, we view this as justified, particularly given Costco as a comparable (repeat demand from concentrated functional staples, durable margins from operational discipline, and a multi decade international runway). Costco re-rated from 30× to 50× over the past decade on this profile; we therefore think Fast Retailing's valuation at 42× does not seem overvalued.

EXHIBIT 2: **Fast vs. Inditex - Annual Constant Currency Growth rate % (2012-2025)**



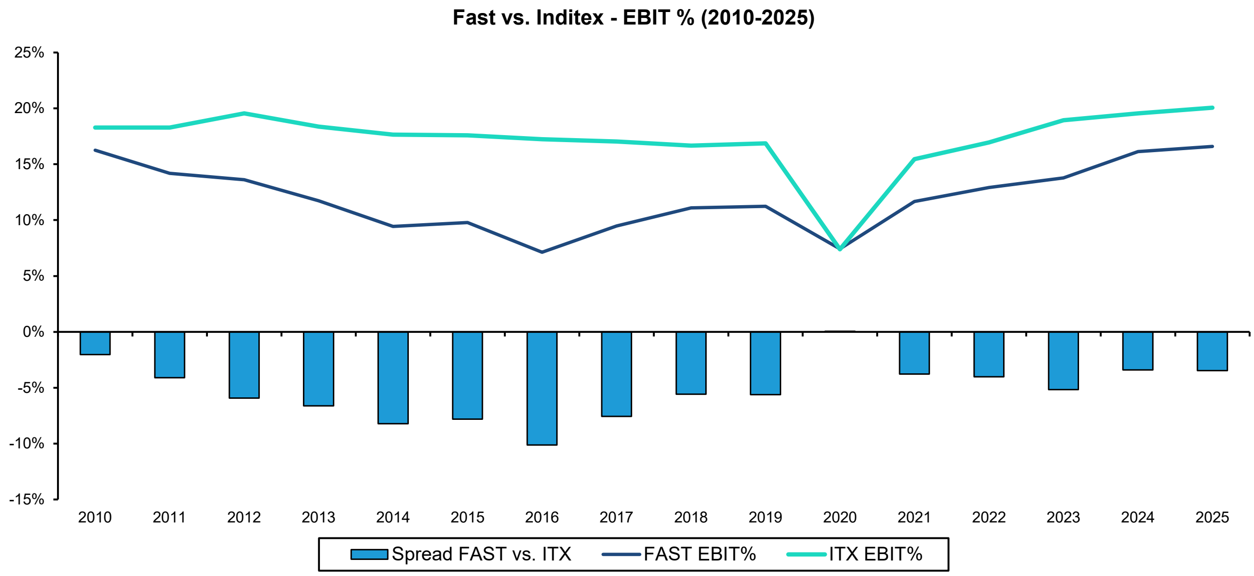
FAST CCY growth is calculated based on disclosed FAST FX impact 2017-2025, and is estimated for 2011-2016 based on estimated geographical exposure
Source: Company reports, Bernstein analysis

EXHIBIT 3: **Fast vs. Inditex - Annual Store Growth % (2011 - 2025)**



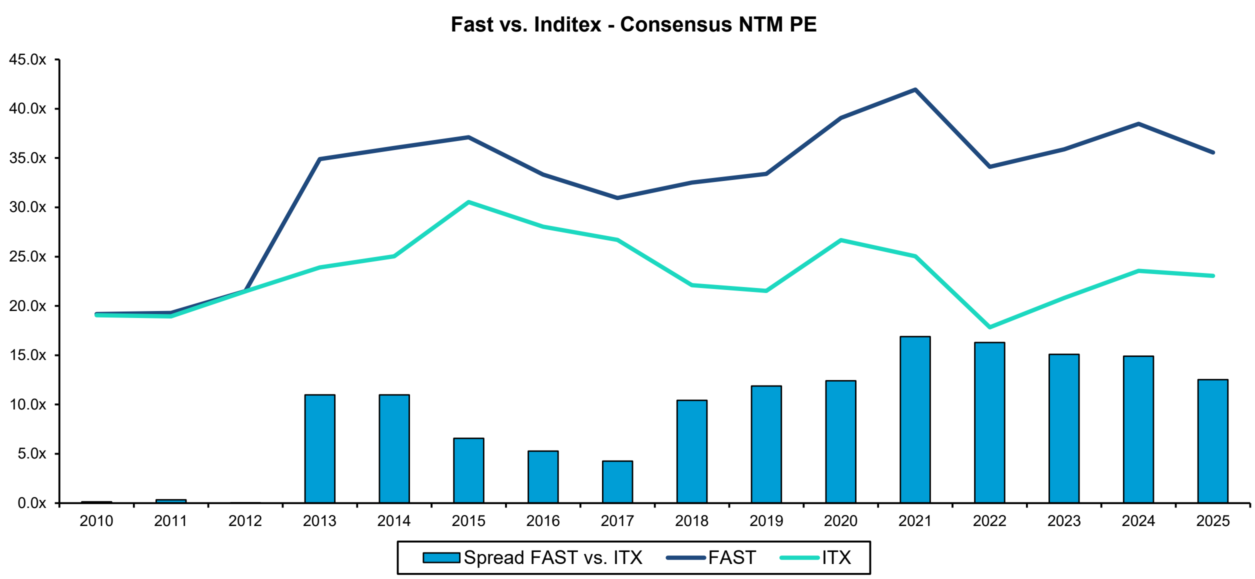
Source: Company reports, Bernstein analysis

EXHIBIT 4: **Fast vs. Inditex - EBIT%**



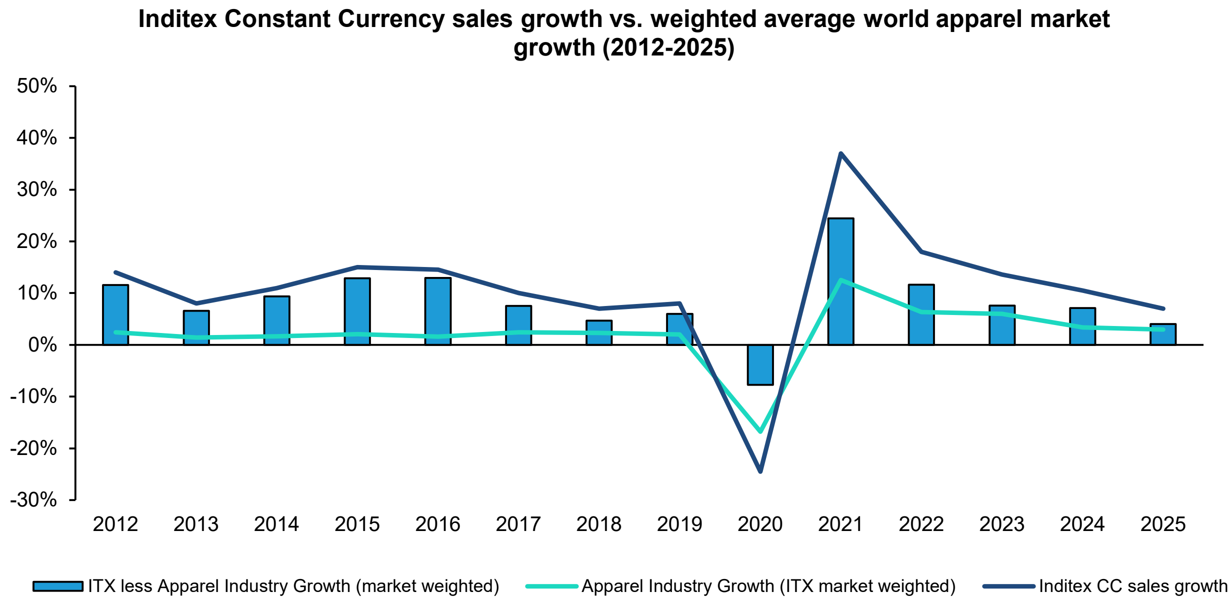
Source: Company reports, Bernstein analysis

EXHIBIT 5: **Fast vs. Inditex - Consensus NTM PE**



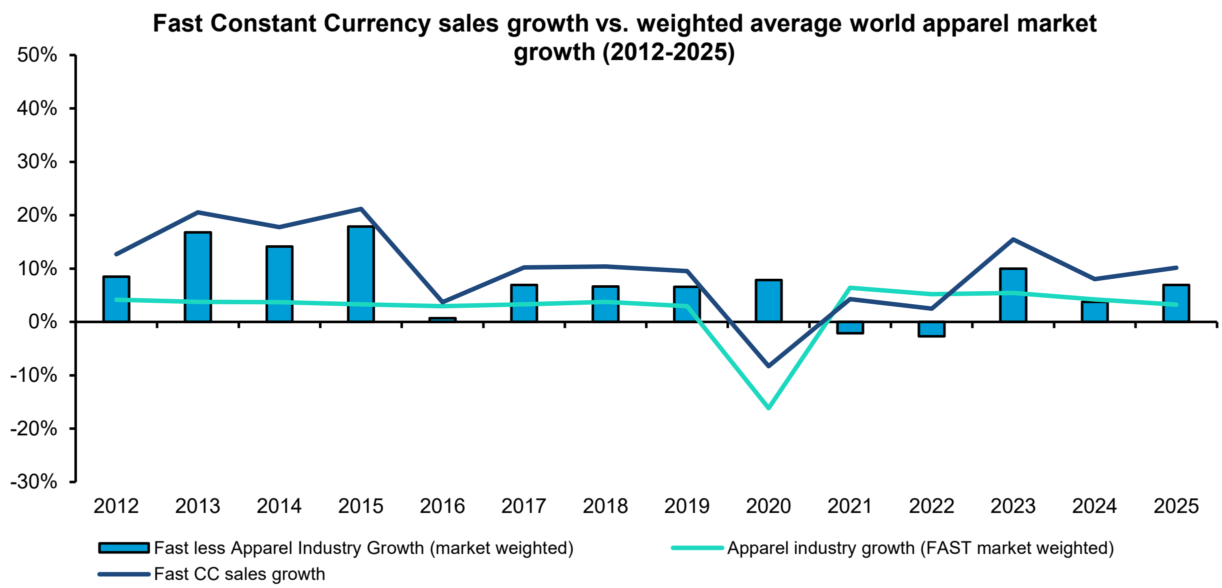
Source: Company reports, Bernstein analysis

EXHIBIT 6: **Inditex CC growth vs. weighted average world apparel market growth (2012-2025)**



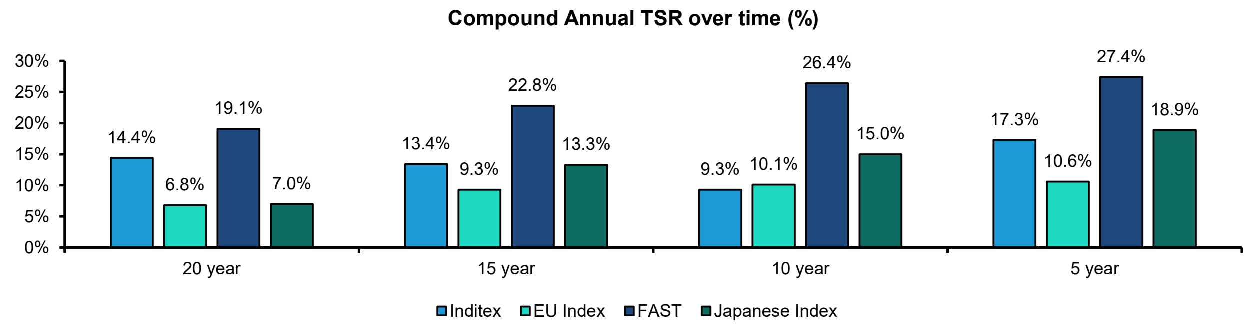
Source: Euromonitor, Company reports, Bernstein analysis

EXHIBIT 7: **FAST CC Growth vs. Weighted average world apparel market growth (2012 - 2025)**



GU and Global Brands not included in weights estimate, as regional disclosure is limited for the two divisions. FAST CCY growth is calculated based on disclosed FAST FX impact 2017-2025, and is estimated for 2011-2016 based on estimated geographical exposure.
Source: Euromonitor, Company reports, Bernstein analysis

EXHIBIT 8: **ITX vs. FAST - Compound Annual TSR over time (%)**



Source: Bloomberg, Bernstein analysis

EXHIBIT 9: **FAST vs. Inditex - Relative valuation**

Consensus NTM	P/E	EV/Sales	EV/EBITDA	EV/EBIT
FAST	**42.0x**	**5.4x**	**22.1x**	**28.7x**
vs. 5 year history	13%	43%	28%	14%
vs. 10 year history	16%	74%	29%	22%
Inditex	**24.3x**	**3.8x**	**13.4x**	**18.5x**
vs. 5 year history	11%	24%	20%	13%
vs. 10 year history	4%	23%	10%	6%

Source: Bloomberg, Bernstein analysis

RETURN ON INVESTED CAPITAL

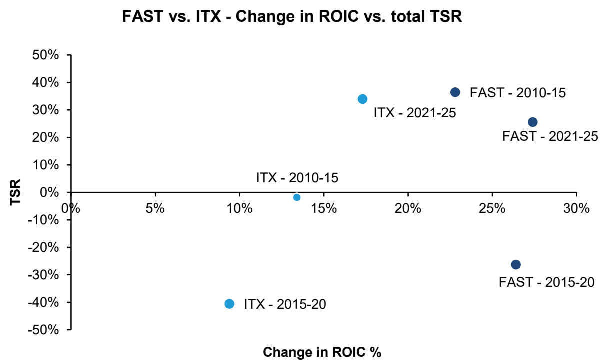
Despite the similar organic growth trend, ROIC differs between Inditex and FAST (Exhibit 10) and (Exhibit 11). From 2021-25, FAST has delivered c. 58% average ROIC and c. 28% TSR, ahead of Inditex at c. 40% ROIC and c. 16% TSR over the same window. This gap has been consistent historically too - FAST's 2015-20 period shows c. 62% ROIC and c. 26% TSR, well above Inditex's c. 37% ROIC and c. 10% TSR for the same years. The exception is the earliest period: FAST's 2005-10 vintage shows a much lower c. 10% ROIC alongside c. 20% TSR, suggesting FAST's returns profile has strengthened materially over the last decade, whereas Inditex's ROIC has stayed in a more consistent c. 37-48% band across its history.

In Exhibit 12, we show the components of ROIC at both the NOPAT and Invested Capital level for FAST and Inditex in further detail. This illustrates that Inditex is ahead of FAST on both the P&L and balance sheet sides of the ROIC calculation.

- **Inditex leads on P&L drivers**, with higher gross margin (c. +447bps), operating margin (c. +346bps), and NOPAT margin (c. +285bps) than FAST.

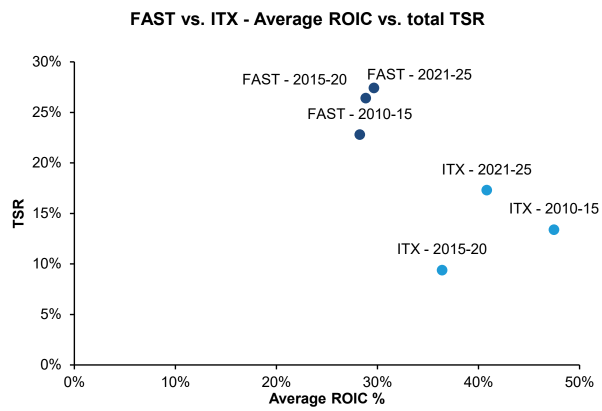
- **Inditex also pulls ahead on balance sheet metrics: it holds negative net working capital (c. -10.5%) vs. FAST's positive c. 6.4% of sales, driven by ITX carrying less inventory and higher payables.** This reflects the differing nature of the business models - as a fashion retailer, Inditex's asset turn is much higher and it holds comparatively little inventory, while FAST's model requires carrying more stock through its seasonal cycle and FAST also deliberately pays suppliers early to lock in dedicated capacity and cost.

EXHIBIT 10: **Fast vs. Inditex - Change in ROIC vs. total TSR**



Source: Bloomberg, Bernstein analysis

EXHIBIT 11: **FAST vs. Inditex - Average ROIC vs. Total TSR**



Source: Bloomberg, Bernstein analysis

EXHIBIT 12: **ITX vs. FAST - ROIC Scorecard**

FAST vs ITX - ROIC Scorecard

	Inditex	FAST	Delta
Gross Margin%	**58.3%**	**53.8%**	**4.5%**
EBIT Margin %	**20.1%**	**16.6%**	**3.5%**
Tax Rate %	**22.4%**	**29.4%**	**-7.0%**
NOPAT Margin %	**15.6%**	**12.7%**	**2.9%**
Inventory (% Sales)	8.2%	15.0%	**-6.9%**
Receivables (% Sales)	2.9%	2.8%	**0.1%**
Payables (% Sales)	-21.5%	-11.5%	**-10.1%**
Working Capital (% Sales)	**-10.5%**	**6.4%**	**-16.9%**
Net Tangible Assets (% Sales)	41.9%	23.8%	**18.0%**
Intangible Assets (% Sales)	4.2%	2.7%	**1.5%**
Invested Capital incl. Intangibles (% Sales)	**35.5%**	**32.9%**	**2.7%**
Invested Capital excl. Intangibles (% Sales)	**31.4%**	**30.2%**	**1.2%**
ROIC incl Intangibles %	***43.9%***	***38.7%***	***5.2%***
ROIC excl Intangibles %	***49.7%***	***42.2%***	***7.5%***

Red shaded text is ROIC dilutive; green shaded text is ROIC accretive.
Source: Company reports, Bernstein analysis

DIVISIONAL ANALYSIS

As we break down Inditex's revenue by region (Exhibit 13), it remains heavily weighted to Europe, with Rest of Europe and Spain together accounting for the majority of sales, while the Americas and Asia and the Rest of the World are comparatively smaller contributors. This concentration reflects Inditex's more limited exposure to China and Asia relative to peers, which has been a source of stability and missed upside at different points in the cycle.

In Exhibit 15, we show the profit breakdown by brand for Inditex. Zara remains the group's main engine, contributing the vast majority of PBT, and has been responsible for the bulk of Inditex's growth over the past 15 years. Smaller concepts have added incremental growth, particularly those skewed toward a younger, less affluent shopper (Bershka, Stradivarius), while Zara itself has pushed into adjacent categories like home and accessories, though these remain a modest slice of the business today.

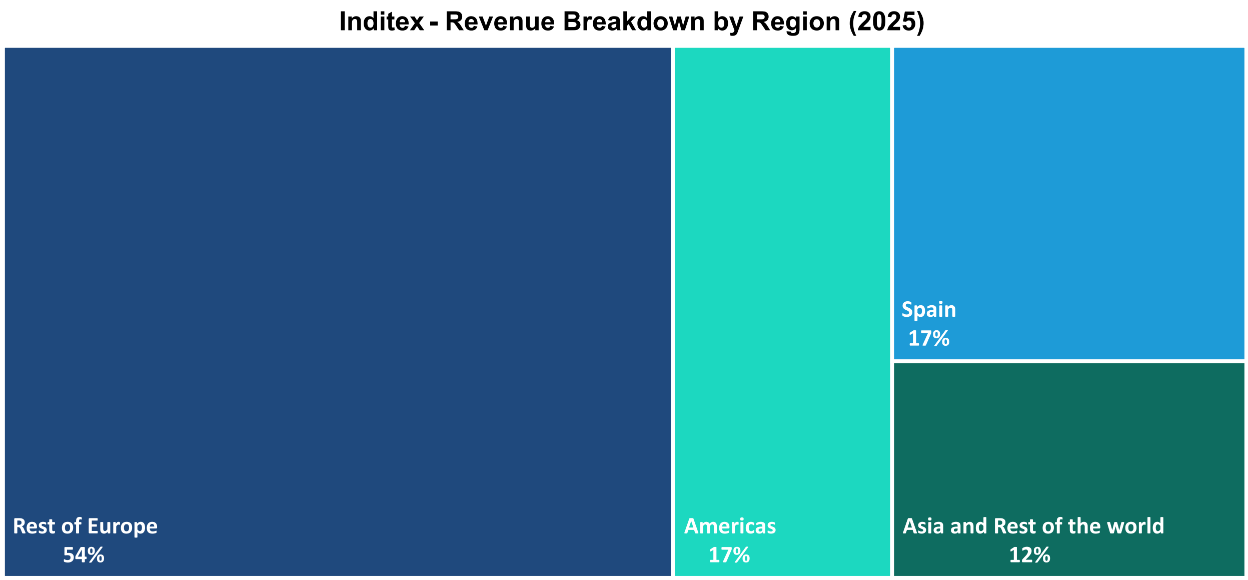
- **In** Exhibit 23, we show reported ROCE by concept over the last five years. Returns vary by brand: Stradivarius leads at c.70%, followed by Massimo Dutti/Oysho at c. 51%, Pull&Bear at c. 48%, Bershka at c. 45%, and Zara at c. 36%. This spread is largely a function of store footprint - Zara runs larger, flagship-style stores, whereas Stradivarius operates smaller formats in lower-rent locations to suit its younger lower-spend customer base.

Turning to FAST, Exhibit 16 shows the profit breakdown by division of the group. FAST is structurally more concentrated than Inditex - profits are driven almost entirely by Uniqlo, split between Uniqlo International and Uniqlo Japan, with GU a much smaller contributor and Global Brands at an operational loss.

FAST has successfully achieved their target structure: International is primary and domestic is secondary. In Exhibit 14, we show FAST's revenue breakdown by region. Unlike Inditex's more Europe-concentrated footprint, FAST's revenue is anchored in Asia but still fairly spread across markets: Japan is the largest single contributor, followed by PRC at c. 22%, and the rest of Asia a growing segment of 21%. Europe and North America are relatively much smaller than Inditex's exposure.

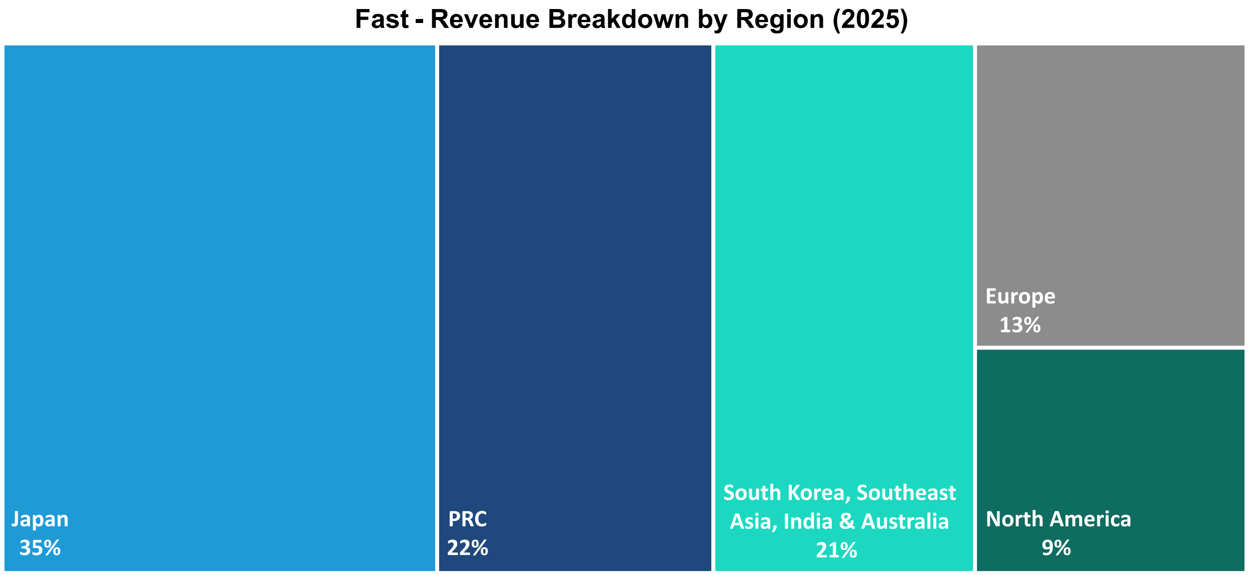
- **While we examine FAST's 6-year operating profit CAGR in Exhibit 19**, the divisional split reinforces the same message: Uniqlo International has compounded at c.11% over 2019-2025, ahead of Japan at 3%, as supported by international expansion.

EXHIBIT 13: **Inditex - Revenue Breakdown by Region (2025)**



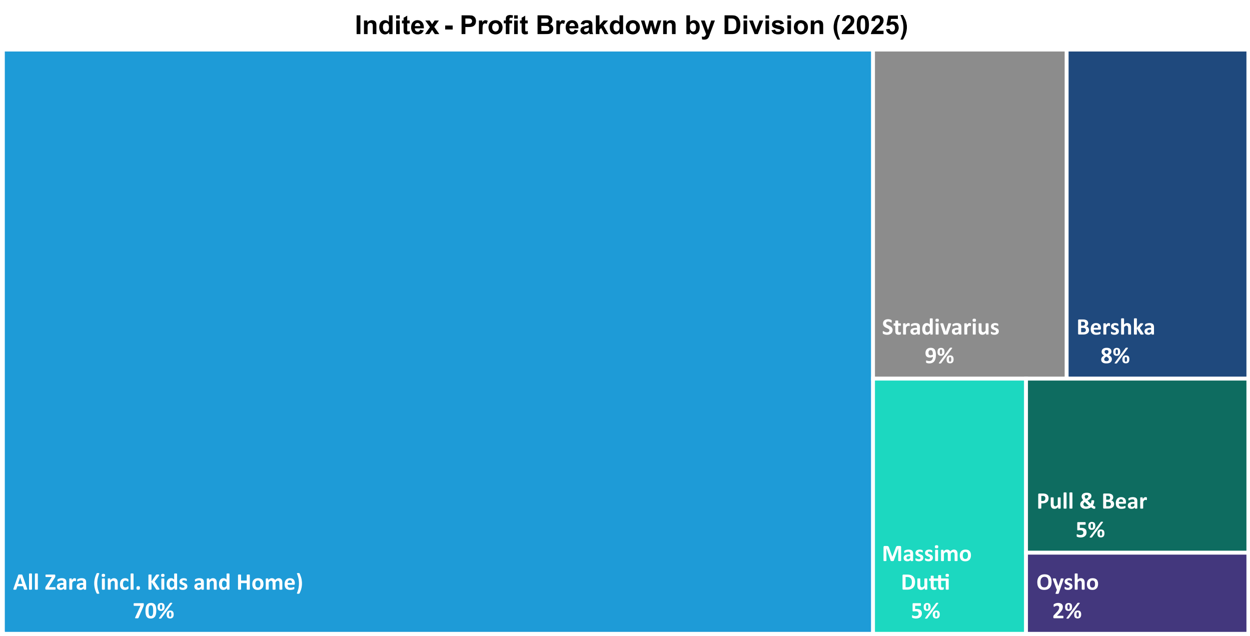
Source: Company reports, Bernstein analysis

EXHIBIT 14: **Fast - Revenue Breakdown by Region (2025)**



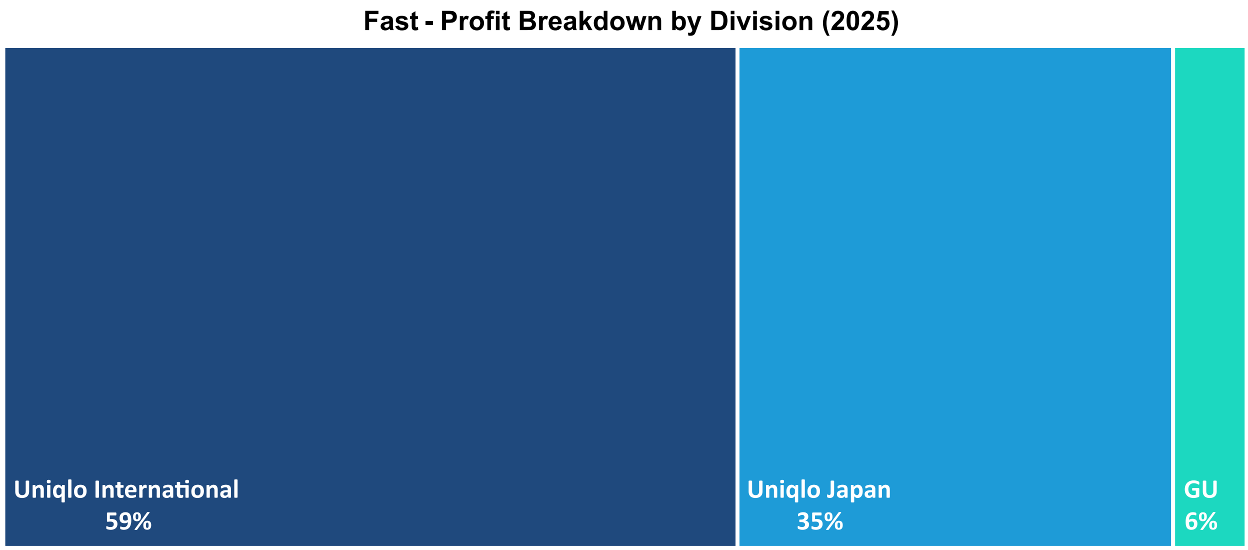
Breakdown excludes GU and Global Brands, as their regional split is not disclosed
Source: Company reports, Bernstein analysis

EXHIBIT 15: **Inditex - Profit Breakdown by Division (2025)**



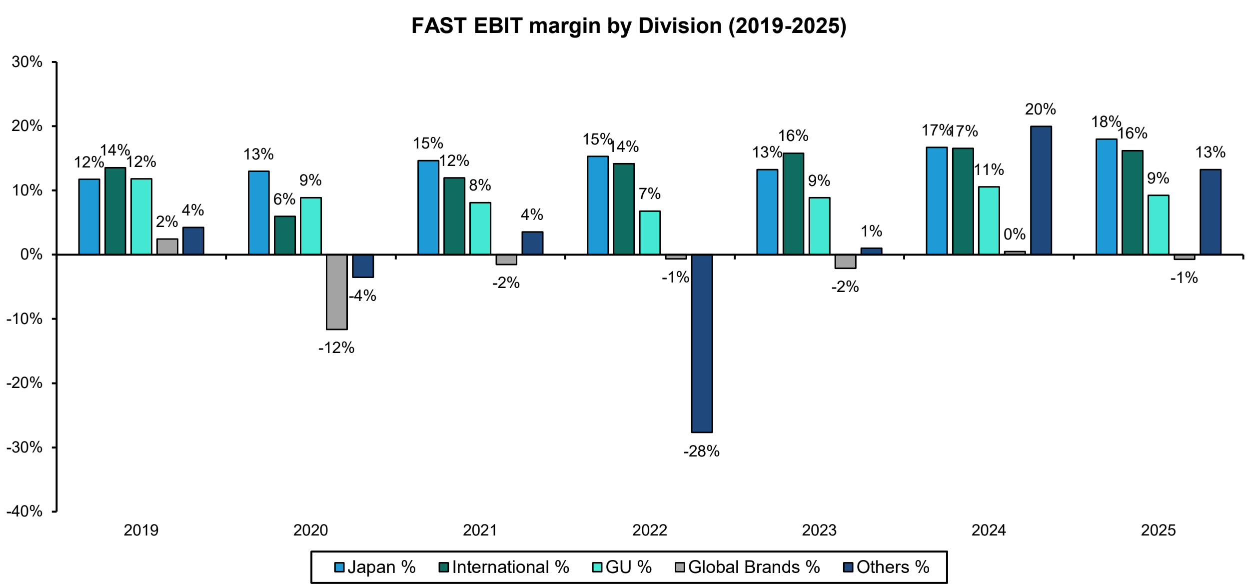
Source: Company reports, Bernstein analysis

EXHIBIT 16: **Fast - Operating Profit Breakdown by Division (2025)**



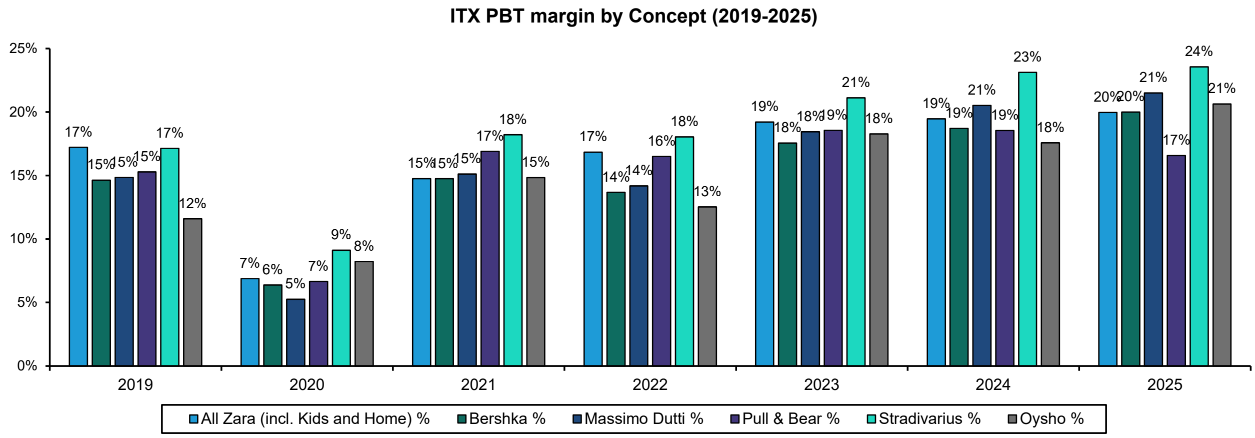
Source: Company reports, Bernstein analysis

EXHIBIT 17: **FAST EBIT margin by division % (2019-2025)**



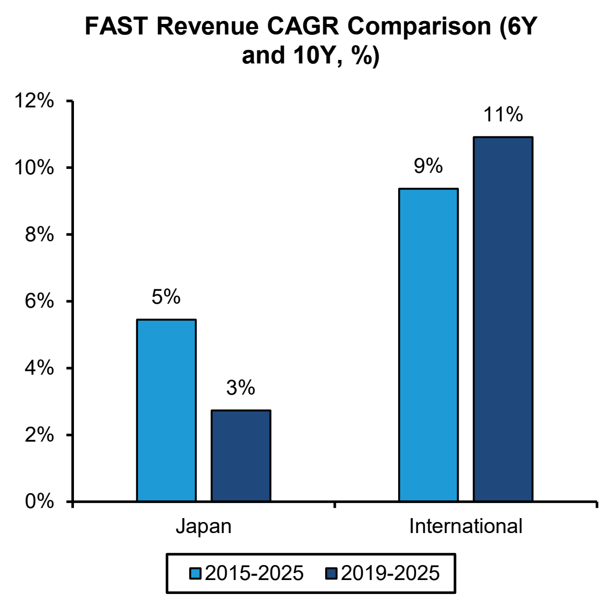
Source: Company reports, Bloomberg analysis

EXHIBIT 18: **Inditex PBT margin by concept % (2019-2025)**



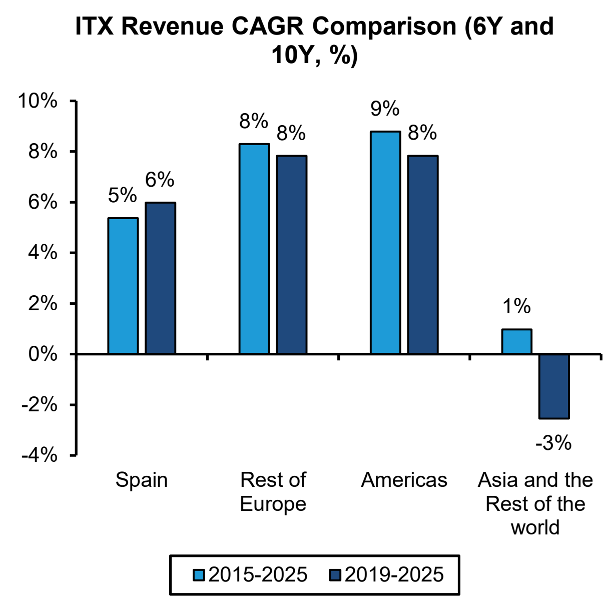
Source: Company reports, Bloomberg analysis

EXHIBIT 19: **FAST Revenue CAGR Comparison: 6 years vs. 10 years**



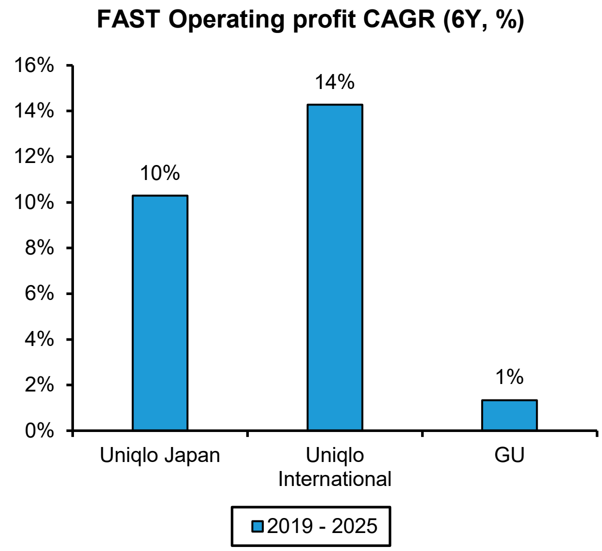
Source: Company reports, Bernstein analysis

EXHIBIT 20: **Inditex Revenue CAGR Comparison: 6 years vs. 10 years**



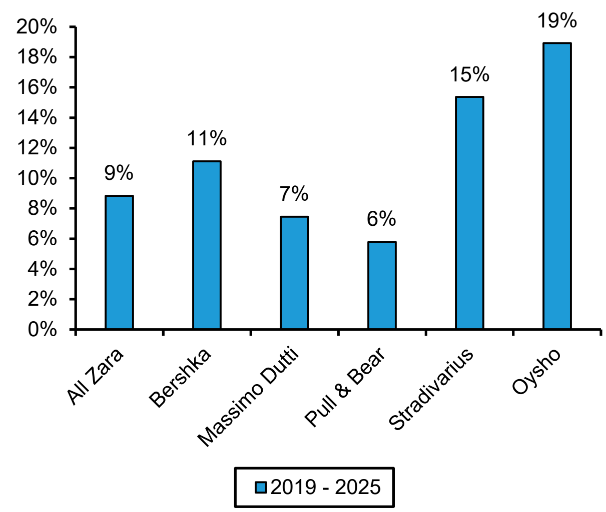
Source: Company reports, Bernstein analysis

EXHIBIT 21: **FAST Operating Profit 6-year CAGR (%)**



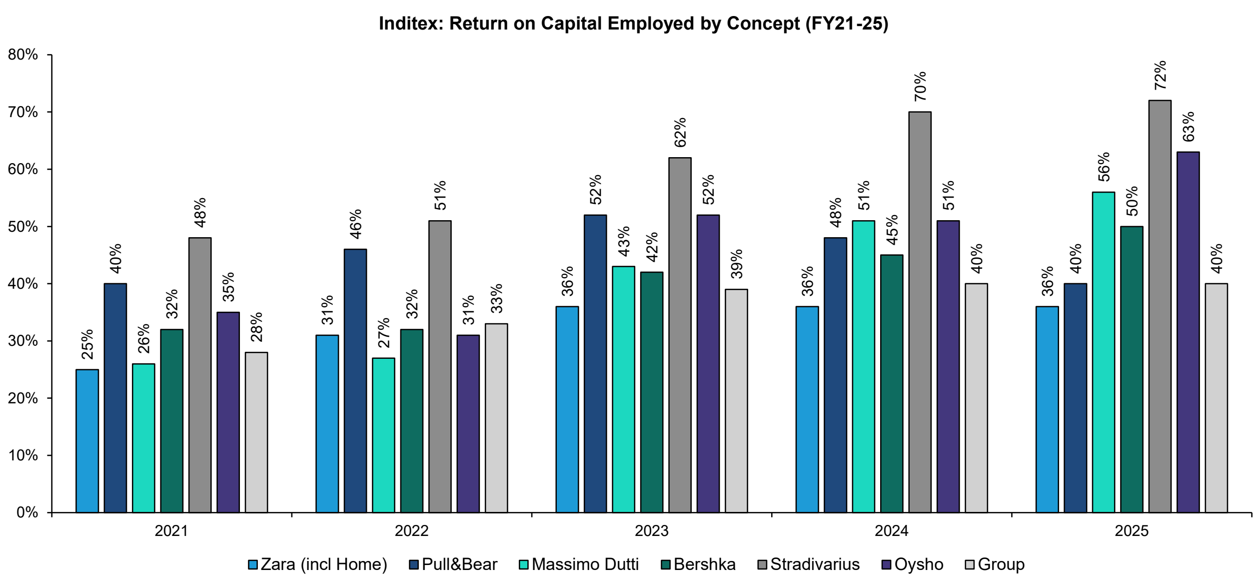
Source: Company reports, Bernstein analysis

EXHIBIT 22: **Inditex Profit before Taxes 6-year CAGR (%)**



Source: Company reports, Bernstein analysis

EXHIBIT 23: **Inditex: Return on Capital Employed by Concept (2021-25)**



Source: Company reports, Bernstein analysis

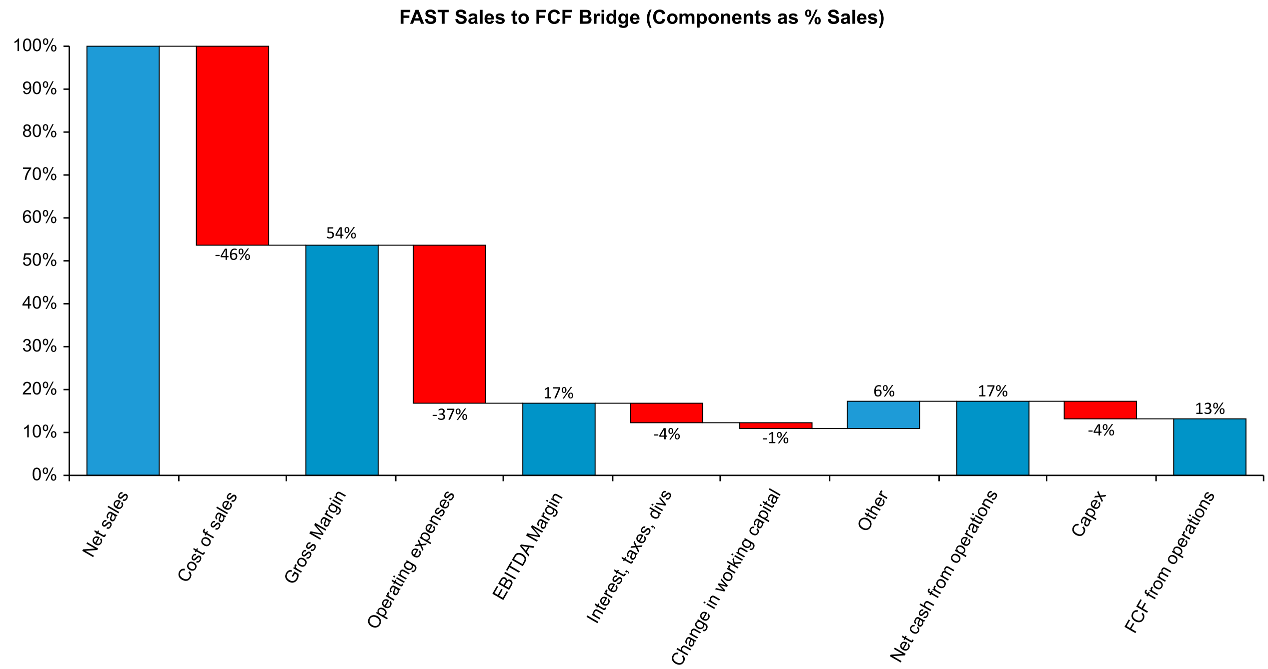
CASH GENERATION

Cash generation diverges more meaningfully between FAST and Inditex than the returns discussed above might suggest, with FAST's converting sales to FCF at 13% vs. Inditex's 17%.

- **Gross margin is lower at FAST (54%) than Inditex (58%), and this gap widens at an EBITDA line**, with FAST at just 17% vs. Inditex's 28%. This reflects FAST's higher operating expense load (-37% of sales vs. Inditex's -30%).
- **Net cash from operations is also lower at FAST (17%) vs. Inditex (24%).** Interest and taxes are broadly similar across both names, and change in working capital/other adjustments are roughly comparable too, meaning the gap in net cash from operations is driven almost entirely by the EBITDA margin shortfall carrying through the bridge.

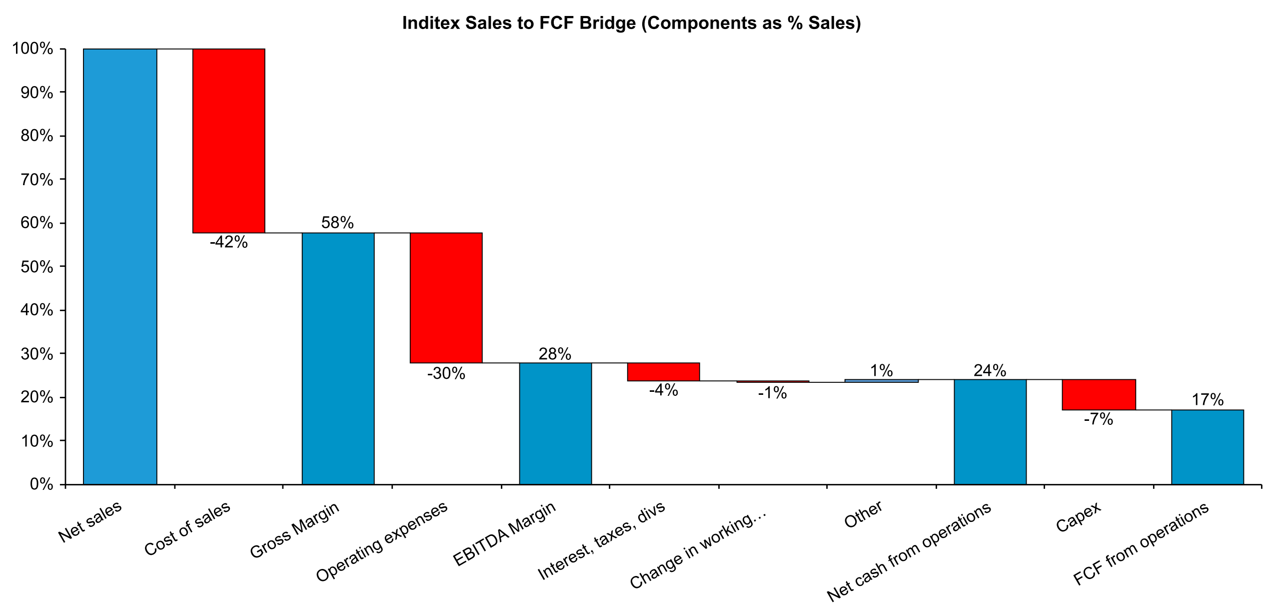
- **FAST's CapEx is lower than Inditex's (-4% of sales vs. -7%)**, which partially offsets the gap, but **FAST's FCF margin still lands below Inditex's at 13% vs. 17%.**

EXHIBIT 24: **FAST Sales to FCF Bridge (Components as % Sales)**



Source: Company reports, Bernstein analysis

EXHIBIT 25: **Inditex Sales to FCF Bridge (Components as % Sales)**



Source: Company reports, Bernstein analysis

BUSINESS MODEL COMPARISON

The starting point for the financial outcomes above can be found in taking a step back and looking at what both Inditex and FAST are seeking to achieve.

INDITEX

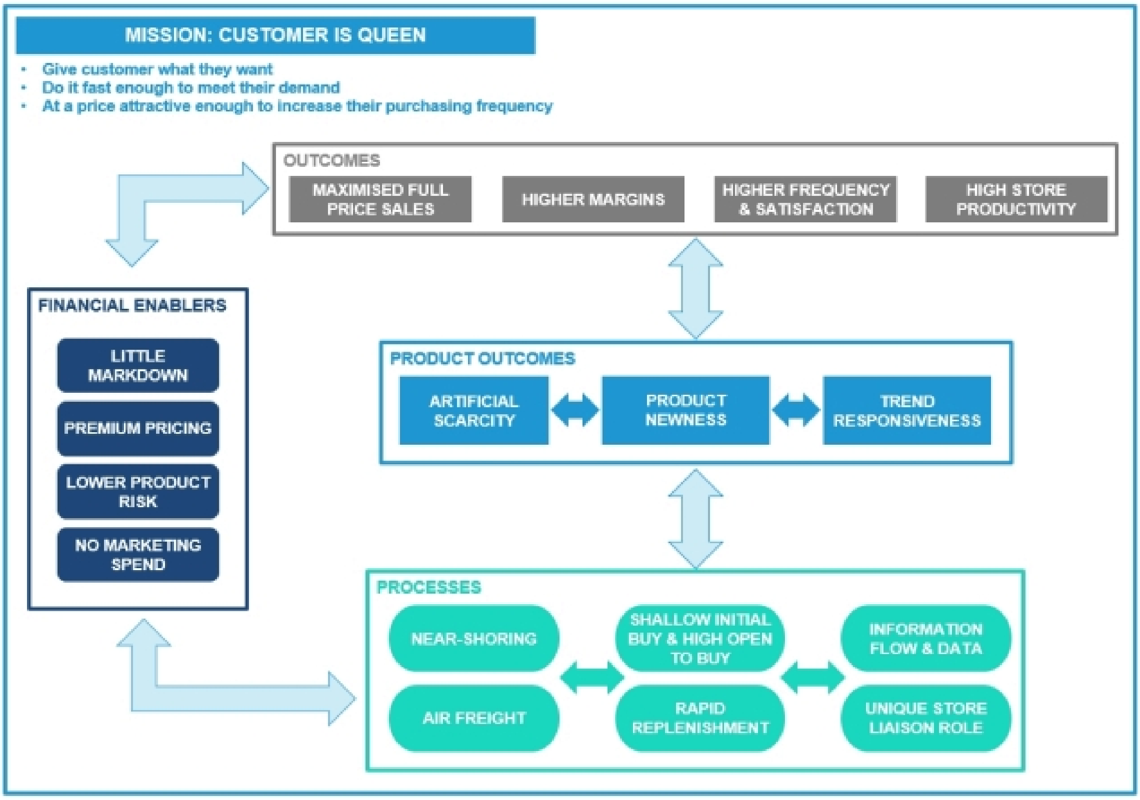
Inditex has a unique consumer business model. It is the original fashion chameleon. Where fashion retailers rely on creative teams to dictate the tone of a collection, Inditex has opted a more unconventional approach. The business holds no fixed view on fashion itself; its only real conviction is that product should reflect what consumers already want, delivered quickly and cheaply enough to keep them coming back for more. This single distinction in how the company defines its customer relationship is the foundation from which the rest of the model follows.

Three outcomes flow directly from this mission: Inditex follows trends rather setting them, operating with a much shorter design and production cycle. **Inditex treats newness as a product in its own right**, refreshing stock weekly, so that customers are trained to check in regularly rather than shop seasonally. **It also engineers a form of scarcity akin to luxury retail**, whereby a customer who hesitates on a product risks to never see it again.

None of this functions without the supporting infrastructure. Nearshore manufacturing complemented by the use of air freight remains one of the key competitive advantages, a higher share of production located in Europe and North Africa than peers to reduce lead times and enable rapid reaction to changing demand. Selective use of air freight allows products to move quickly through the supply chain and be reallocated efficiently between markets. Buying decisions remain shallow as well, with deliberately shallow initial orders and a high proportion of open-to-buy inventory, allowing them to respond to what is actually selling rather than forecasting upfront. **The pricing is set modestly above value peers to fund the higher cost of near-shoring and air freight, limited need for markdown prices given the low product risk built into the buying process, and negligible marketing spend,** as product turnover and store experience serve as the primary form of communication.

The difficulty in replicating this model lies not in any single component but in the interdependence of the whole ecosystem. A competitor cannot adopt near-shoring without repricing to fund it, cannot reduce markdown without rebuilding buying discipline and replenishment speed, and cannot raise pricing without the underlying product quality to support it. The more fundamental barrier, however, is cultural: most peers remain organized around telling customers what is fashionable, and unwinding that is a far larger undertaking than adjusting a supply chain.

EXHIBIT 26: **The Inditex business model in one diagram**



Source: Bernstein analysis

FAST

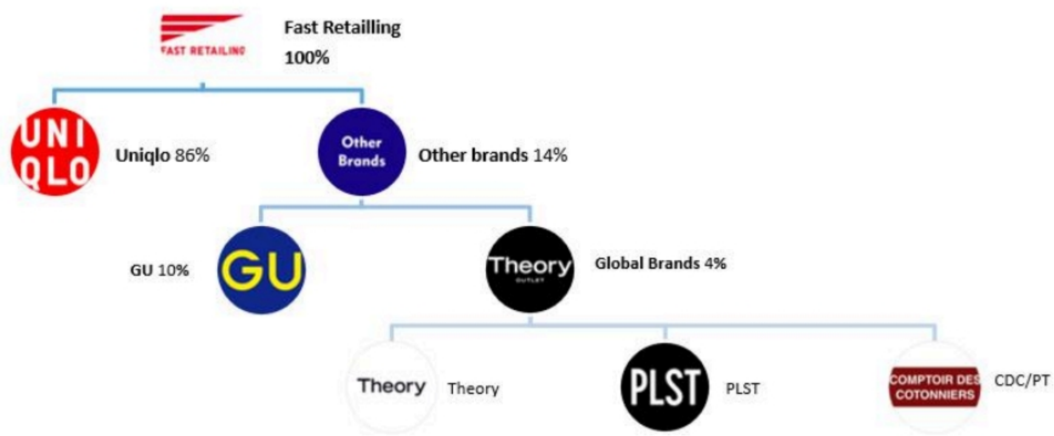
UNIQLO has a uniquely industrial consumer business model. It is the original "infrastructure" apparel platform. Where most fashion retailers compete on novelty and storytelling, UNIQLO has made a deliberate decision to compete on repetition, function, and scale. The business does not chase fashion trends — but it does not ignore them either: its essentials are continuously updated — silhouettes recut, fabrics upgraded, details refined — so that a basic never grows dated. The infrastructure is permanent; the maintenance is perpetual. Its core conviction is that clothing should deliver everyday utility at a price-quality point that feels indispensable, and that this proposition should be replicated at massive volume across markets. Everything else in the model is downstream of that choice.

Three outcomes flow directly from this mission. First, **UNIQLO plays a volume game, not a fashion game**: it commits to a radically concentrated SKU set — fewer than 1,000 core items annually — and pushes those through dedicated production lines with long-standing partners. Second, **it treats functionality as a product in its own right**, building recurring demand streams around technologies like HEATTECH, AIRism and Ultra Light Down, so that customers "reload" staples rather than chase seasonal looks. Third, **it engineers a form of dependability rather than scarcity**: the customer who hesitates on a HEATTECH crewneck does not risk never seeing it again, but instead internalizes that UNIQLO will always have that product at a consistent quality-price point. Scarcity converts hesitation into urgency; dependability converts trust into predictable, repeatable demand — and makes Uniqlo the default choice for basics.

The outcome is a model that naturally matures into a long-term growth compounder. A concentrated SKU base supports a structurally higher value conversion ratio — more of every dollar of operating cost reaching the product rather than the apparatus around it — while the capital deployed into inventory and production is recycled across larger volumes and longer product lives, underpinning best-in-class returns on capital. Operating margins in the high teens become a function of process discipline rather than merchandising luck. Where typical fashion retailers must earn their margin through correct calls on color, silhouette or trend, UNIQLO earns its margin through correct calls on fabric science, cost curves and capacity planning. This is why the business increasingly resembles infrastructure: the brand sits on top of a long-duration asset base of supplier relationships, fabric technologies, and production commitments that cannot be replicated quickly. A competitor cannot simply "launch basics" and expect to achieve equivalent economics without years of volume history and co-investment with mills and factories.

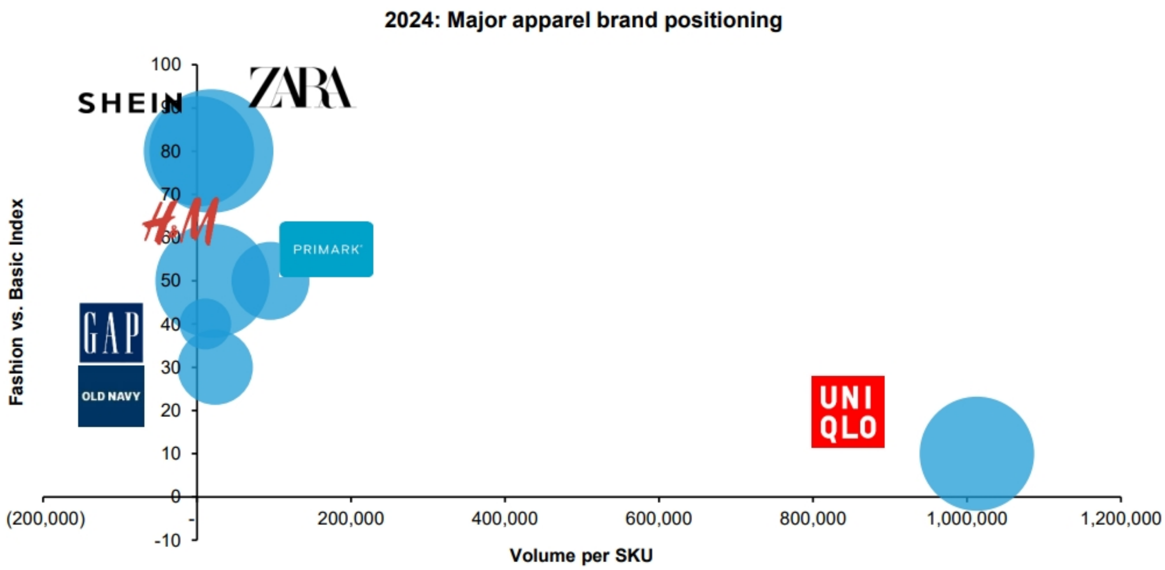
What deserves the most attention in this model is the quality of the TAM. A fashion retailer's addressable market is normally capped by the fashion-engaged population — a cohort skewed to cities and filtered by income and sensibility. UNIQLO's customer definition carries no such filter. **A model that does not require its customers to be fashion-forward addresses the broad majority of people — across age, gender, and fashion sensibility**. The difference shows up directly in store economics. A trend-driven store works only where fashion-sensitive shoppers cluster; a store selling everyday essentials can earn its keep on a rural roadside. UNIQLO operates roughly 800 stores in Japan, and much of that depth sits outside the major metropolitan areas — a store density closer to grocery chains and drugstores than to fashion retail. The whitespace per capita is structurally larger.**And this quality of TAM is what sets the duration of growth**. The growth of a model selling everyday infrastructure continues until penetration of the population is exhausted — and on penetration, the world outside Japan is barely past the front gate. As long as the competitive advantages hold, the runway for compounding is structurally longer than the industry standard.

EXHIBIT 27: **FAST Revenue mix in 2025**



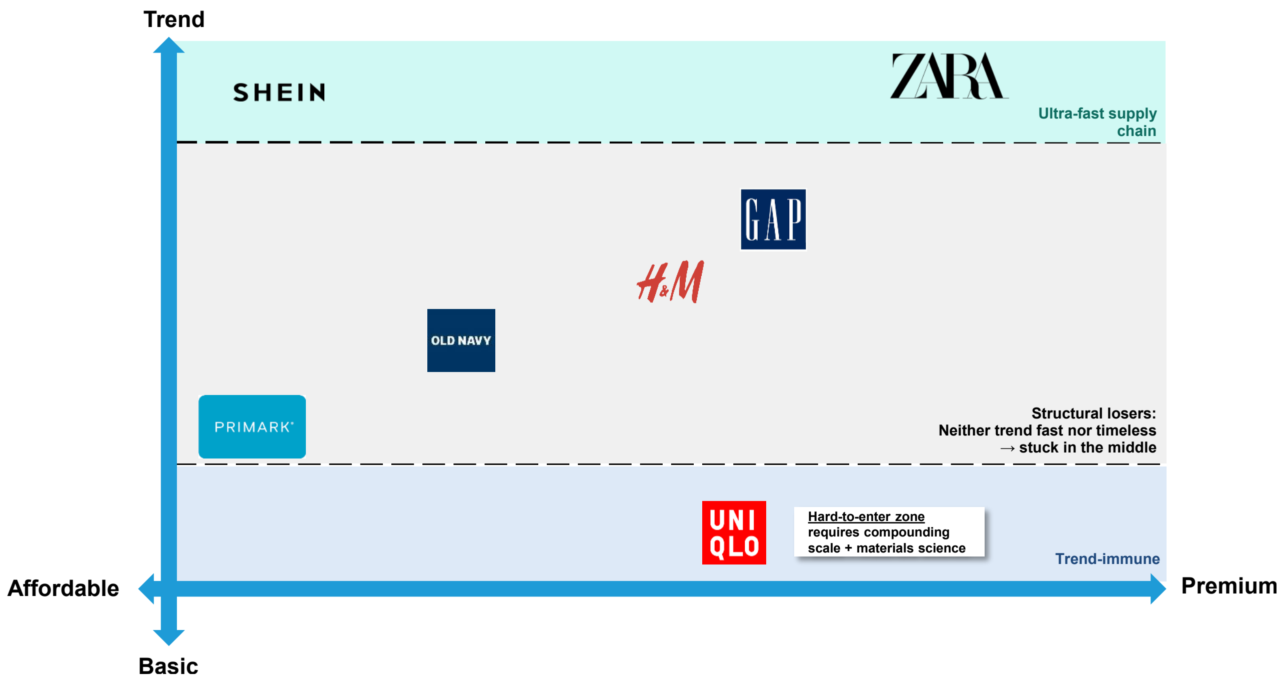
Source: Company reports, Bernstein analysis

EXHIBIT 28: **Volume per SKU**



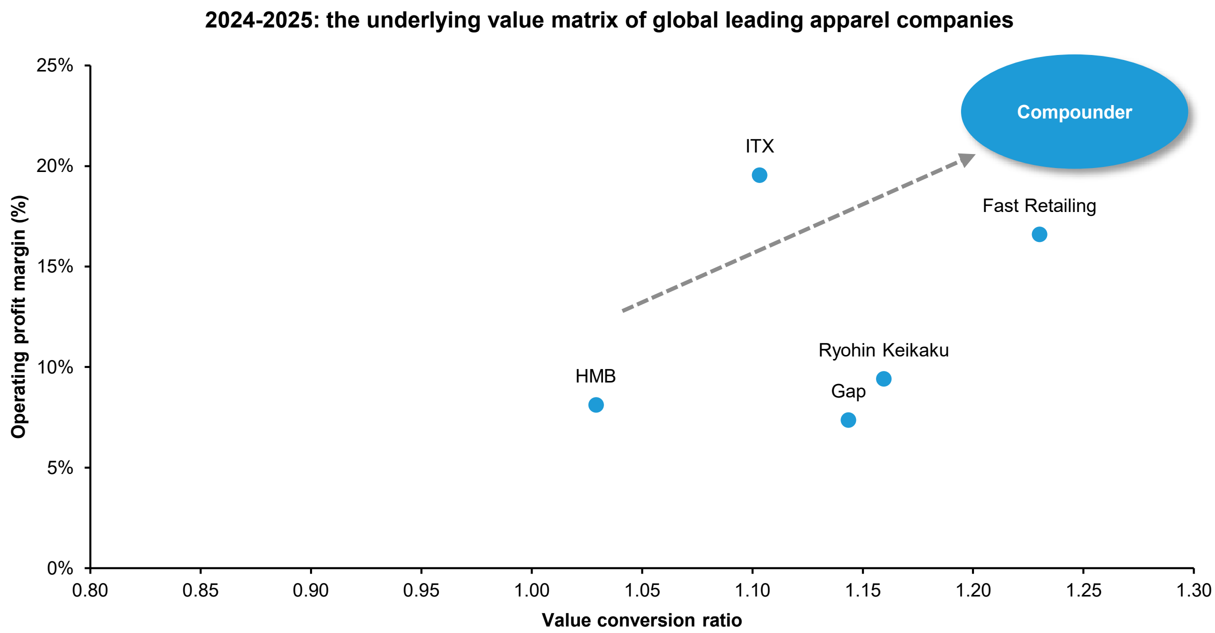
GAP not covered. Shein is private.
Source: Exabel, Company website, Company reports, Euromonitor, Bernstein analysis

EXHIBIT 29: **Where Uniqlo has the basic and affordable quadrant to itself, Zara is positioned as trendy and premium**



GAP is not covered. Shein is private.
Source: Exabel, Company website, Bernstein analysis

EXHIBIT 30: **Zara delivers the highest operating profit margin, while Fast Retailing offers the best value for money.**



Gap not covered
Source: Company reports, Bloomberg, Bernstein analysis

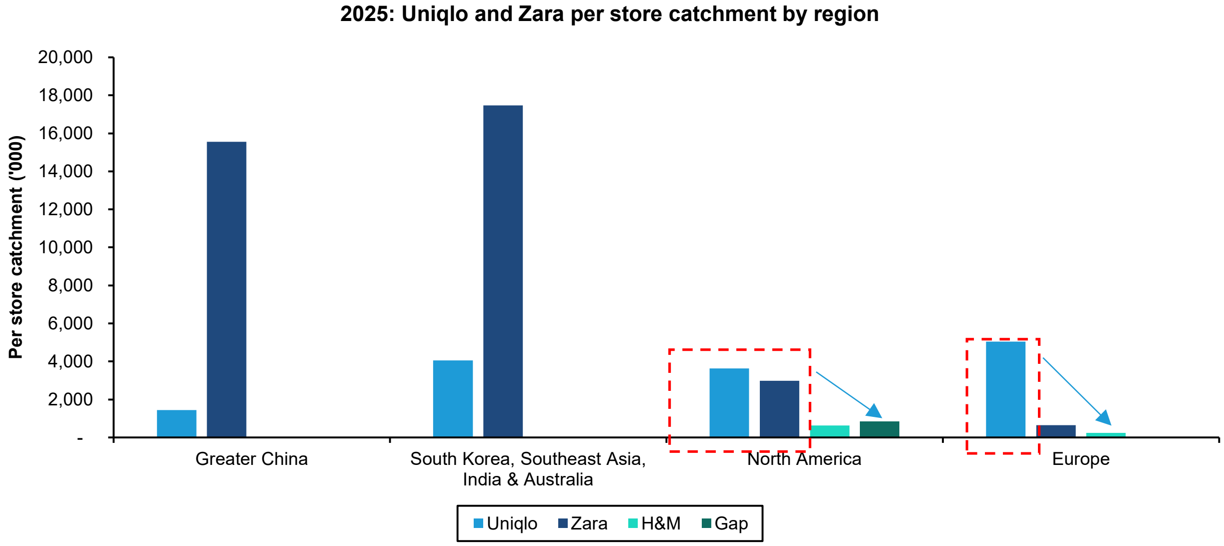
GROWTH POTENTIAL BY REGION

All global apparel brands are most prevalent in their home regions, and UNIQLO and Zara are no exception. UNIQLO's core strength remains in Asia — notably Japan, Greater China and Southeast Asia — while its white space lies in the US and Europe. Zara, in contrast, is structurally strongest in Europe, with its key white space in the US. Southeast Asia deserves a separate note: the region is not yet a mature market for either brand. For UNIQLO it is a proven engine still compounding — a stronghold, but far from saturated; for Zara, whose store presence in the region remains thin, it is largely untapped whitespace.

China, the US and Europe are the three largest apparel markets globally. China's increasingly deflationary environment compresses pricing power and margins across the industry — but the two brands sit on opposite sides of that pressure. **For Zara, China remains structurally difficult, given the market's proximity to the supply chain and intense local competition (see our note here). For UNIQLO, China is not a difficult market but its second pillar: Greater China is already the brand's largest presence outside Japan.** The hyper-growth of the late 2010s will not return under a deflationary regime — but deflation is the environment UNIQLO's model was forged in. A value-for-money proposition honed through Japan's own deflationary decades fits current Chinese consumer conditions better than almost any competitor's, leaving UNIQLO relatively advantaged. Once the current "scrap and build" phase of store and format rationalisation is complete, we expect the brand to grow above industry and continue to gain share — the growth rate resets lower, the share trajectory does not.

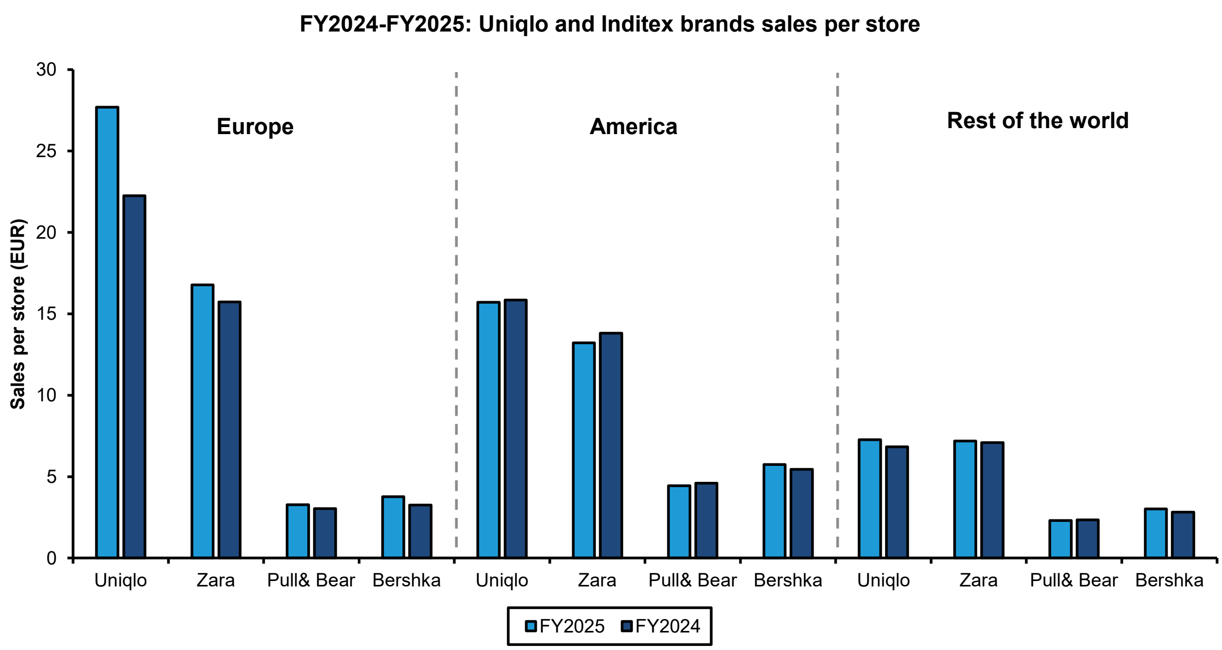
This leaves the US and Europe as the primary white space and growth drivers for UNIQLO, and the US as the key white space for Zara. Bloomberg consensus expects higher earnings growth for UNIQLO than for Zara, reflecting two factors: the earlier stage of UNIQLO's Western expansion, with rapid growth in both Europe and the US — and the quality of its TAM, a customer definition unfiltered by fashion sensibility, which widens the store whitespace within each market, not just across them. On PEG, Inditex is still cheaper than Fast Retailing, but the valuation gap narrows.

EXHIBIT 31: **UNIQLO's core strength remains in Asia — notably Japan, Greater China and Southeast Asia — while its white space lies in the US and Europe. Zara, in contrast, is structurally strongest in Europe, with its key white space in the US**



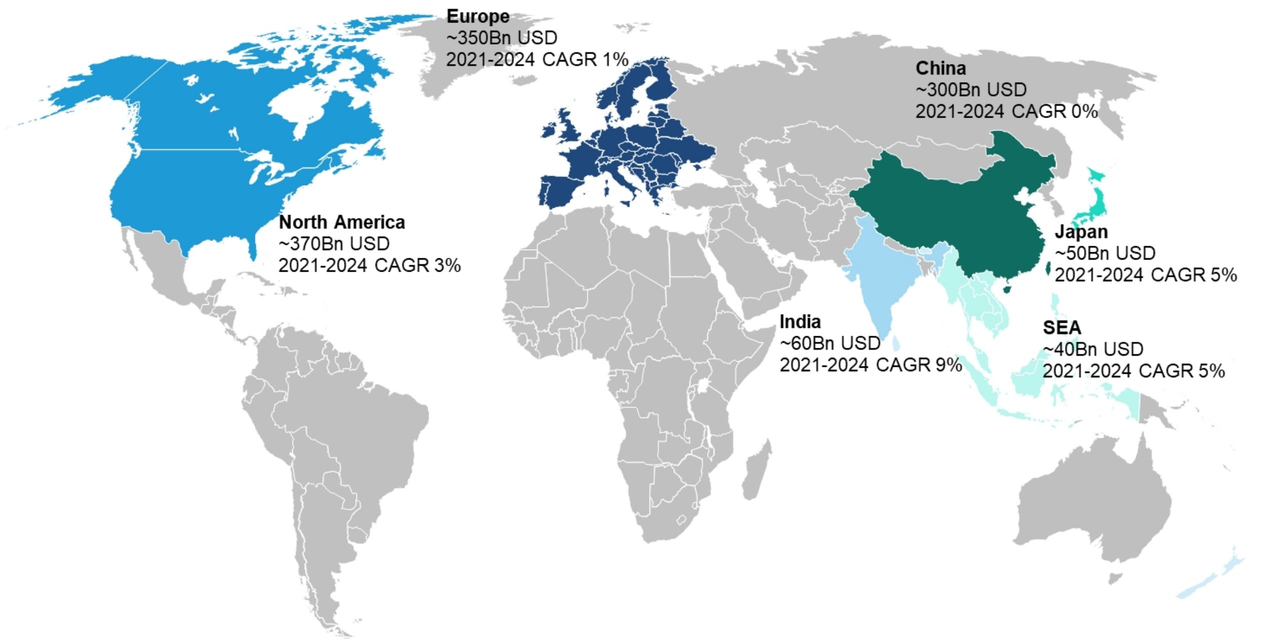
Source: Company reports, Bernstein analysis.

EXHIBIT 32: **Both Uniqlo and Zara generate industry leading sales per store**



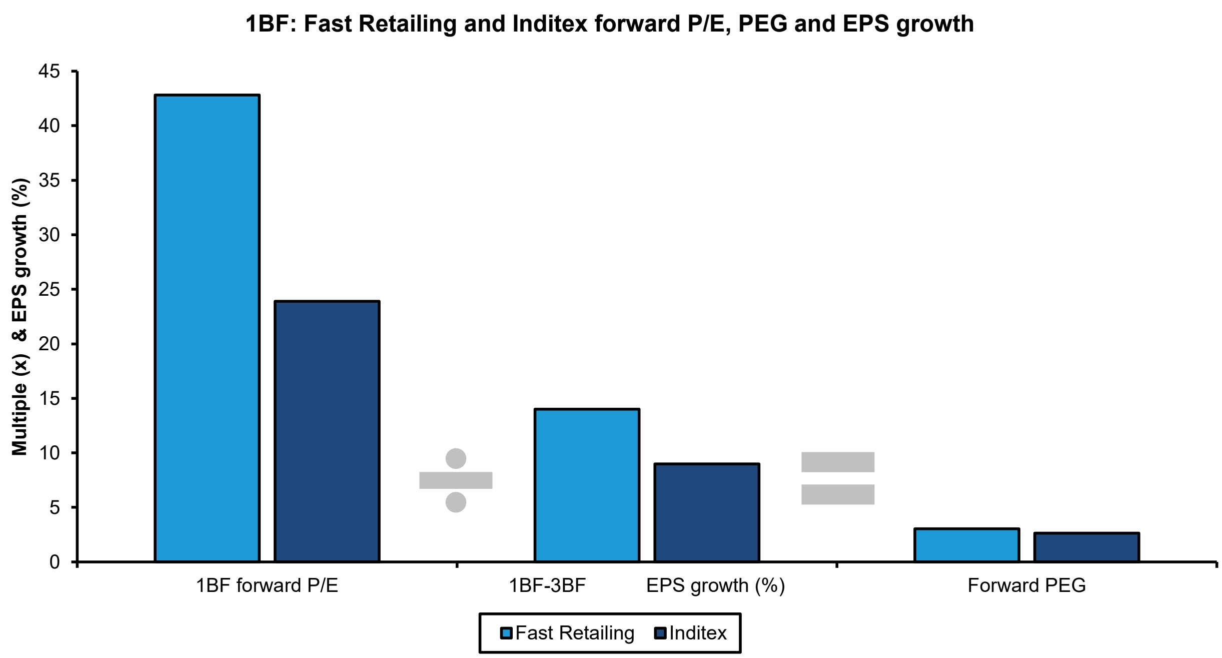
Source: Company reports, Bernstein analysis.

EXHIBIT 33: **China, the US and Europe are the three largest apparel markets globally**



Source: Euromonitor, Bernstein analysis.

EXHIBIT 34: **On PEG, Inditex still cheaper than Fast Retailing but the valution gap narrows**



Source: Bloomberg, Bernstein analysis.

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VALUATION METHODOLOGY

Industria de Diseno Textil SA

We rate Inditex Outperform with a price target of €60. This is based on current market multiples and an average of a PE (23x) and EV/EBIT (20x) applied to our NTM+1 estimates.

Fast Retailing Co Ltd

We value Fast Retailing at 48x our NTM+1 earnings (¥2,042) and derive our target price at ¥98,000.

RISKS

Industria de Diseno Textil SA

Risks that the share price will decrease more than expected: 1) Volumes suffer in an economic downturn and Spanish apparel market slowdown; 2) Management change affects the business operating model; 3) US expansion falters leading to weaker ROIC; 4) More CAPEX is required than expected; 5) Potential for competitive pressure on pricing; 6) Further FX pressure

Fast Retailing Co Ltd

Downside risks:

- **Renewed revenue decline in China** — should the S&B completion thesis break down and China revert to a decline phase in FY2026-2027, the sentiment impact on global investors could propagate well beyond the 19% geographic exposure.
- **Slowdown in Western growth** — US tariff-policy uncertainty or European macro softness causing SSS and store-expansion pace to undershoot expectations would directly pressure the FY2027-2028 earnings acceleration scenario.
- **FX** — with international now contributing 55% of operating profit, the structural FX sensitivity has risen meaningfully from the pre-globalization era, and a sharp yen reversal would surface as a margin headwind.

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Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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William Woods +44 20 7676 6806 william.woods@bernsteinsg.com

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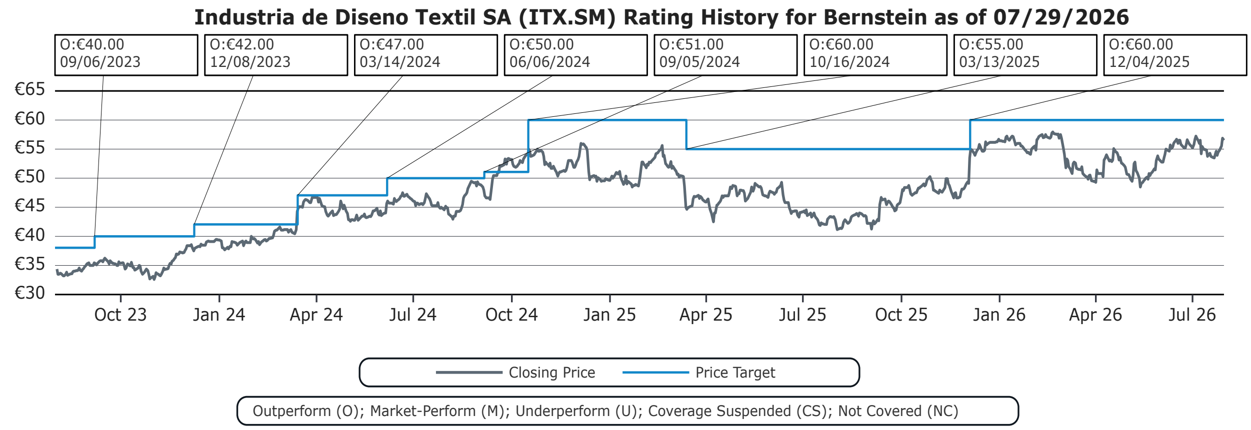

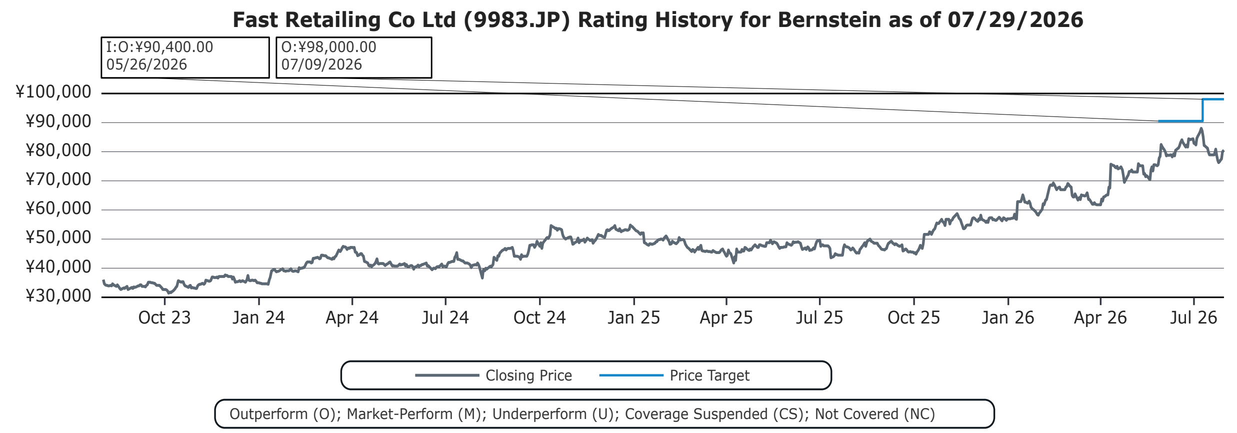

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